

Career Incentives, Land Allocation, and Local Government Debt in China’s Mandarin Growth Model*

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Abstract

A Chinese city leader’s promotion rewards local GDP growth. The exception is a hometown tie. When a newly appointed provincial superior shares the leader’s birthplace, promotion no longer depends on growth. Exploiting the timing of these appointments as a plausibly exogenous relaxation of career incentives, we show that tied leaders shift land supply toward residential use and away from both industrial and commercial land, the latter with a one-year lag, raising the residential share by six to seven percentage points, lower residential land prices by roughly a fifth, and curtail local government debt accumulation, on the order of a year of forgone borrowing. These estimates lie outside the distribution of a 500-draw randomization placebo, are not explained by preferential treatment from above, and weigh against an anticipated-promotion channel. The response is compositional rather than expansionary, because aggregate investment and infrastructure do not move and we detect no change in the total quantity of land supplied. Tracing the reallocation into the real economy, the visible industrial engine the promotion tournament rewards winds down, as foreign investment and industrial employment fall, while housing delivered to households appears to expand and output holds up, a recomposition toward the residential build-out rather than broad productive growth. These patterns are the leader-level footprint of China’s Mandarin model of growth, in which career incentives steer local development toward the visible activity a promotion tournament can credit.

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1 Introduction

China’s four decades of growth is often linked to a “Mandarin” system in which local officials receive substantial economic discretion within a hierarchical state and face promotion incentives tied partly to local economic performance (Song and Xiong, 2026). One implication is that the career incentives of individual officials, not only fiscal or market fundamentals, shape economic decisions of the local officials, including the allocation of land across competing uses and the accumulation of local government debt. Establishing this relationship causally has been difficult because career incentives are not directly observed and are endogenous to the outcomes they affect.

We provide causal evidence that political career incentives shape local financial and real estate outcomes. Our empirical design exploits variation in the authority responsible for a city leader’s promotion. In China’s personnel hierarchy, most prefectural city leaders are evaluated by provincial superiors, with economic performance playing a central role in promotion incentives (Li and Zhou, 2005). These provincial superiors are appointed from above, at times and for reasons plausibly unrelated to any given city’s land and housing markets. Building on prior work showing that social and political ties are relevant for political selection in China (Fisman, Shi, Wang and Wu, 2020, Chu, Fisman, Tan and Wang, 2021), we use hometown ties, that is, when newly appointed superiors and incumbent city leaders share the same birthplace, as a source of variation in promotion pressure.

We show that a hometown tie relaxes GDP-based promotion pressure and thereby affects land allocation, local government borrowing, and land prices. All else equal, city leaders with hometown ties shift the composition of land supply toward residential use and away from both industrial and commercial land, raising the residential share by six to seven percentage points at the expense of industrial land on impact and of commercial land with a one-year lag, and they slow local government debt accumulation, leaving the outstanding stock about 28% below its no-tie counterfactual in the year after the hometown tie forms. Because local debt was compounding at roughly 36% a year over this period, this amounts to about one year of

forgone new borrowing, the cumulative effect of slowed debt accumulation rather than a pay-down of debt already incurred. The response is compositional rather than expansionary. We do not detect a change in the *total* quantity of land supplied, and aggregate investment and infrastructure are unchanged, so the tie works through the mix of land uses rather than the size of the resource base. This weighs against alternatives such as additional central/provincial transfers or a general loosening of fiscal discipline. Prices move accordingly, with residential land prices falling by about 19% and industrial land prices rising by about 15%. House-price growth also slows, by roughly five percentage points per year (against an average of about 13 percent a year over the sample), though we treat this last result as suggestive corroboration. A randomization-inference placebo that permutes superiors' birthplaces within province confirms the pattern is not an artifact of the appointment process. None of 500 placebo reassignments reproduces our land, price, or debt estimates.

The reallocation also propagates into the real economy, with a lag. In the two years after a tie forms, the city's industrial growth engine winds down. Foreign direct investment falls across every measure we observe, as do industrial employment and the urban population, while residential housing reaching households appears to expand and aggregate output, rather than contracting, holds up and if anything edges higher as the reallocation matures. This apparent paradox, that output rises precisely when the growth incentive is removed, resolves once growth is decomposed into the margins a superior can credit. What rises is tied to the residential build-out, construction and the material demand it pulls along, rather than the visible industrial effort the tournament rewards, which in fact winds down. A city-level decomposition of GDP by sector is consistent with this, with construction value added accelerating after a tie even as the rewarded effort, foreign investment and industrial employment, falls. Career incentives thus shape not the level of local growth so much as its composition. They steer it toward the visible, attributable industrial activity the promotion tournament can credit to a leader, such as foreign investment, factories, and debt-financed buildout. We read this as the leader-level footprint of Song and Xiong's "Mandarin" account of Chinese growth (Song and Xiong, 2026), in which the cadre tournament shapes the character of local develop-

ment.

The paper makes four main contributions. First and most centrally, it provides causal micro-evidence for the career-incentive mechanism that the macro literature on China’s “Mandarin” system places at the center of how local economies are governed (Song and Xiong, 2026). That literature works largely through theory and aggregate accounting, whereas we supply the corresponding evidence at the individual-leader level, isolating an exogenous, within-leader relaxation of promotion pressure and tracing its effect on the allocation of land, the debt and prices tied to it, and, ultimately, the recomposition of the local real economy. In doing so we connect to a broad literature on political connections and economic outcomes, in cross-country data (Faccio, 2006), in developing countries (Khwaja and Mian, 2005, Claessens, Feijen and Laeven, 2008, Acemoglu, Hassan and Tahoun, 2018), and in developed economies (Goldman, Rocholl and So, 2009, Cooper, Gulen and Ovtchinnikov, 2010, Amore and Bennedsen, 2013, Akey, 2015, Acemoglu, Johnson, Kermani, Kwak and Mitton, 2016, Schoenherr, 2019). In China specifically, personal ties shape outcomes ranging from promotion (Jia, Kadamatsu and Seim, 2015) and trade credit (Kong, Pan, Tian and Zhang, 2020) to favorable treatment in elite scientific selection (Fisman, Shi, Wang and Xu, 2018), lenient government monitoring (Chu, Fisman, Tan and Wang, 2021), corporate tax breaks that fade as a leader’s promotion incentives strengthen (Cao, Cheng, Xia, Xie and Zeng, 2024), and protection from anticorruption enforcement (Griffin, Liu and Shu, 2022). At the very apex of the system, where connections invite scrutiny, ties can instead carry a penalty in selection to the Politburo (Fisman, Shi, Wang and Wu, 2020), a contrast consistent with favoritism operating at the local tiers we study. Most evidence on connections and promotion concerns provincial leaders and above, whereas the city leaders in our setting sit one rung lower, at the prefecture tier where land is allocated and debt is incurred. Closest to our setting, Wang, Zhang and Zhou (2020) model city leaders as “city developers” and show that stronger career incentives push them to expand cities outward at low density to raise land revenue, while Henderson, Su, Zhang and Zheng (2022) structurally estimate the weight leaders place on growth relative to resident welfare that drives a wedge between industrial and residential land supply. These studies es-

establish that career incentives shape the quantity, spatial form, and modeled preferences behind land development. We complement them along three lines. Our outcome is the composition of land use across its industrial, commercial, and residential parcels rather than its quantity or density. Our variation is an exogenous, within-leader relaxation of the growth-promotion incentive, the hometown tie, rather than cross-sectional career-incentive proxies or a calibrated preference. And we follow the resulting shift through prices, debt, and the recomposition of the local economy, which we read as the leader-level footprint of the “Mandarin” growth mechanism.

Second, this paper contributes to the literature on the demand and supply factors behind China’s housing boom. Previous studies have scrutinized demand factors extensively, such as speculative investment, status competition, credit expansion, and urbanization, as well as fundamental factors such as population, wages, income, and construction costs (Wang and Zhang, 2014, Chow and Niu, 2015, Fang, Gu, Xiong and Zhou, 2016, Wu, Gyourko and Deng, 2016, Chen and Wen, 2017, Wei, Zhang and Liu, 2017, Chen and Zhang, 2023). Some research suggests that supply-side factors may have been overlooked in explaining China’s housing boom (Glaeser, Huang, Ma and Shleifer, 2017, Wu, Gyourko and Deng, 2016).

However, although the Chinese Communist Party has a monopoly on the country’s urban land supply, the impact of China’s political institutions on its housing market is not fully understood. Cai, Henderson and Zhang (2013) and Chen and Kung (2019) document that corruption is an important consideration in primary market land auctions. Most closely related, Chang, Wang and Xiong (2026) show that local governments in China actively manage residential land and house prices, through supply controls, land purchases by their financing vehicles, and limits on new-home sales permits, generating a divergence between prices and transaction volumes. Their mechanism and ours are complementary. They study how local governments *intervene* in housing and land markets, whereas we identify how the *career incentives* of city leaders, and their relaxation through hometown ties, shape the composition of land supply, the accumulation of local debt, and house-price growth in the first place. A separate, public-finance literature emphasizes local governments’ *fiscal* incentives as the prominent

determinant of land supply, pointing to fiscal pressure and land-based financing (Gong, 2012, Li, Hong and Huang, 2013, Han and Kung, 2015, Liu and Xiong, 2020), and most rigorously to He, Nelson, Su, Zhang and Zhang (2025), who show that the large residential-industrial price gap is substantially rationalized by the future tax revenues that industrial land generates. Closest to our own mechanism, Zheng and Shi (2011) document the very cross-subsidy at the heart of our setting, in which local governments depress industrial land prices to court investment while restricting and pricing up residential land. They trace it to the dual pressure of fiscal need and political performance, though their evidence is cross-sectional and, like ours, finds its transmission to housing prices statistically weak. We view our channel as complementary to these accounts. Holding the fiscal fundamentals they emphasize fixed, we isolate the distinct, political-career determinant of land allocation causally, using the hometown tie as exogenous within-leader variation a correlational design cannot supply. The career-incentive channel also builds on the literature on China's political tournament. Politicians are constantly ranked by their relative performance among their peers, the principle of *yardstick competition* (Shleifer, 1985, Maskin, Qian and Xu, 2000), for which Chen, Li and Zhou (2005) provide direct evidence from provincial-leader turnover. We show that evaluating city leaders on relative economic performance within provinces has important implications for land supplies and housing price growth.

Third, our findings speak to the rapidly growing literature on local government debt and land finance in China. A large body of work documents the scale and risks of local government borrowing, much of it intermediated by local government financing vehicles and collateralized by land (Ambrose, Deng, Li and Wu, 2024, Song and Xiong, 2018, Chen, He and Liu, 2020), and links land-based revenue to local fiscal and political behavior (Chen and Kung, 2016, Li, Hong and Huang, 2013). A parallel strand debates the macroeconomic footprint of this borrowing, namely whether local spending and debt crowd private investment in or out (Su, 2023, Huang, Pagano and Panizza, 2020). The literature has emphasized fiscal-pressure and stimulus-driven accounts of the debt buildup (Bai, Hsieh and Song, 2016), and recent regional evidence shows that shortfalls against growth targets trigger additional land sales and

borrowing (Chang, Wang and Xiong, 2025), while Song and Xiong (2026) argue that career incentives foster over-leverage at the aggregate level. We provide direct, leader-level causal evidence for the latter. Because debt-financed investment is itself an instrument for delivering the GDP growth on which promotion depends, a relaxation of promotion pressure through a hometown tie leads leaders to curtail borrowing. The resulting reduction in local debt is robust to our most demanding specification and lies decisively outside the placebo distribution. It points to political career incentives as an underappreciated driver of local government debt accumulation, complementary to the fiscal-capacity and stimulus channels emphasized in prior work.

Fourth, the paper connects to research on how local governments compete for business activity. In our setting, cheap industrial land is the natural instrument of local governments' GDP competition. City governments effectively subsidize land for the production sector, much as U.S. states bid for large firms with subsidies whose gains accrue largely to the firms (Slattery, 2025). Our evidence implies a parallel transfer in China. The promotion tournament shifts land value from residents toward production, a transfer that falls on what is typically the dominant asset on household balance sheets in emerging economies, China included (Badarinza, Campbell and Ramadorai, 2016, Badarinza, Balasubramaniam and Ramadorai, 2019).

The remainder of the paper proceeds as follows. Section 2 describes the institutional setting, namely the promotion system that governs city leaders' careers and the urban land market they control. Section 3 organizes these institutions into the chain of predictions the analysis follows. Section 4 details our data on city and provincial leaders, land transactions, land and house prices, local government debt, and real-economy outcomes. Section 5 presents the results. We document the dependence of promotion on GDP growth and its disappearance once a hometown tie forms, the reallocation of land across uses and the accompanying movements in land prices and debt (with house-price growth as suggestive corroboration), the event-study dynamics, and the placebo, specificity, and heterogeneity checks. We then weigh two alternative interpretations against the evidence and, finally, trace the propagation of the reallocation into the real economy. Section 6 concludes.

2 Institutional Background

Two institutions shape how a Chinese city leader allocates land. One is the cadre evaluation system that governs his or her career. The other is the local government's monopoly over urban land. We describe each in turn.

2.1 Career Incentives in the Party Hierarchy

The Chinese Communist Party governs through a four-tier hierarchy running from the central Politburo down through provincial and prefecture committees to the counties (the political pyramid of Figure 11). The provincial and prefecture tiers are the ones that concern us. A prefecture's party secretary, hereafter the city leader, heads the city government and sets local policy, including land allocation. Party personnel are de jure elected by congresses, but in practice the committee one level up controls appointment, promotion, and demotion. A city leader's career rests with the provincial leadership (Li and Zhou, 2005).

What that leadership rewards, above all, is economic performance. Provincial superiors evaluate city leaders by GDP growth, a yardstick competition that has made local output the currency of political advancement (Chen, Li and Zhou, 2005, Song and Xiong, 2026). Evaluation is not purely mechanical, however. Personal ties enter alongside performance, and a connection to a higher-ranking official can outweigh a stronger professional record. Among such ties the shared-hometown bond holds a special place. The term *lǎoxiāng*, people from the same place whether or not they have ever met, denotes a recognized claim to mutual obligation and favor (Fisman, Shi, Wang and Xu, 2018). When a newly appointed provincial superior is a city leader's *lǎoxiāng*, advancement ceases to hinge on out-growing one's peers. That is the variation we exploit.

2.2 The Urban Land Market and the City Leader's Choice

All urban land in China belongs to the state, and since the 1998 Land Management Law local governments hold the right to lease it. A city government is therefore the monopoly supplier

of land in its jurisdiction, selling multi-decade usufruct rights, use rather than ownership, to firms and developers (Liu and Xiong, 2020). How much rural land a city may convert to urban use is not its own decision. The Ministry of Land and Resources sets a national quota, fixed in a multi-year land-use master plan and implemented through annual plans, and allocates it down through the provinces to the cities (Wang, Zhang and Zhou, 2020, Liu and Xiong, 2020). That quota is in turn disciplined by a farmland-protection target. A binding national floor of roughly 1.8 billion mu ($1 \text{ mu} \approx 0.165 \text{ acres}$) of arable land, the farmland red line, requires each city to offset any conversion of farmland to urban use with comparable farmland created inside its own jurisdiction, which raises the cost of expanding the urban footprint and makes the supply of developable land a constrained choice rather than a free one (Yu, 2024). Because that total is set on a multi-year horizon and is largely fixed over any single leader's term, the city leader's effective choice variable is not the quantity of land but its composition, namely how that total is divided among industrial, residential, and commercial use, with residential and commercial parcels, as well as industrial parcels post 2007, sold by public auction (Cai, Henderson and Zhang, 2013). Within the city, land use is planned by a land-reserve and allocation committee on which the senior city leaders hold the decisive voices (Wang, Zhang and Zhou, 2020), and because the city's consequential decisions are taken in the party committee headed by the secretary, the secretary's preferences dominate how land is allocated (Yao and Zhang, 2015). Figure 13 shows that industrial and residential uses absorb the bulk of supply over our sample period.

This composition decision embeds a sharp tension. Industrial land is kept cheap. Cities routinely grant it at or below cost to attract manufacturers, who bring the investment, employment, and visible output that the promotion tournament rewards. Residential land, scarce and far more valuable, is the principal source of land-sale revenue. Over 2004–2015 residential land prices rose several-fold while industrial prices stayed nearly flat (Liu and Xiong, 2020). Tilting supply toward industry therefore trades current land value for growth credentials, a trade a leader makes only so long as growth advances his career.

Land revenue, and the debt built upon it, is the second reason the allocation is politically

charged. The 1994 tax-sharing reform left local governments with heavy spending obligations but a smaller share of tax revenue. It pushed them toward land sales, whose revenue grew rapidly over the period (Figure 12), and, after 2008, toward land-collateralized borrowing through local financing vehicles (Han and Kung, 2015, Liu and Xiong, 2020, Song and Xiong, 2018). Land-related revenue has grown to roughly a third to half of local budgets (Figure 14). This fiscal-incentive account of land allocation, developed most directly by He, Nelson, Su, Zhang and Zhang (2025), is real, and we hold it fixed. Government in-budget revenue and expenditure enter every full-control specification, and the estimates are insensitive to them. Our subject is the distinct, time-varying career-incentive margin, namely what a city leader does with land and debt when, for him, the growth tournament is switched off.

3 Conceptual Framework and Hypotheses

The institutional setting just described suggests a natural organization of the analysis. Consider a city leader who allocates the city's land across industrial, residential, and commercial uses and decides how much debt-financed investment to undertake. Two considerations bear on these choices. The first is fiscal. Residential land yields large upfront sale revenue, whereas industrial land yields modest upfront revenue but a stream of future tax payments from the firms it hosts, and borrowing finances the infrastructure that supports development (He, Nelson, Su, Zhang and Zhang, 2025). The second, our focus, is the leader's career incentive. Promotion in the cadre system rewards the measured economic performance of one's jurisdiction (Li and Zhou, 2005, Song and Xiong, 2026). Industrial production and debt-financed infrastructure register directly in GDP and investment, and are visibly attributable to the leader's own effort, in a way that the real-estate construction a residential build-out generates is not, a premise the promotion evidence in Section 5 bears out. A leader who weights promotion heavily therefore has reason to tilt land toward industrial use and to borrow aggressively, beyond what the fiscal calculus alone would dictate. This is a multitasking logic in the sense of Holmström and Milgrom (1991). When promotion is scored on the achievements a superior can measure and credit, the leader tilts toward the creditable industrial margin and away from

the less-creditable residential one. The premise has direct counterparts in the literature. Governments over-provide public goods whose outcomes evaluators can observe and attribute to official competence (Mani and Mukand, 2007). Within China’s cadre system specifically, city spending tilts toward visible above-ground projects such as roads, bridges, and landscaping, and away from valuable but invisible below-ground infrastructure, precisely for promotion-eligible leaders and around evaluation windows (Wu and Zhou, 2018). And the promotion mechanism demonstrably rewards short-horizon, readily evaluable investments over education and health (Persson and Zhuravskaya, 2016).

Our research design isolates the career incentive. When a city leader’s superior is replaced by a newly appointed official who shares the leader’s birthplace, a hometown tie forms, a salient and well-documented basis for favoritism among Chinese officials (Fisman, Shi, Wang and Xu, 2018). We show in Section 5 that such a tie sharply raises the city leader’s promotion probability while severing the link between promotion and GDP. Because the superior’s appointment is decided from above, at a time and for reasons unrelated to any individual city’s land trajectory, a tie acts as a discrete, plausibly exogenous relaxation of the GDP-promotion incentive for an otherwise-comparable leader, holding the city’s fiscal fundamentals fixed. This logic yields a connected chain of predictions, and the empirical analysis follows the chain rather than testing each link in isolation. The natural starting point is the first link. If a hometown tie genuinely relaxes the career incentive, it should raise the leader’s promotion odds while breaking the dependence of promotion on GDP. With that established, the central behavioral prediction follows. A leader freed from growth pressure should rebalance land toward residential use and away from both industrial and commercial land. The form of this response is itself revealing. If career incentives change what leaders do with a given stock of resources, rather than how much they command, the reallocation should be compositional. The total quantity of land released, and the city’s aggregate investment and immediate scale of activity, should be largely unchanged. That pattern would set the career channel apart from scale-based alternatives, such as additional central/provincial transfers or a general loosening of fiscal discipline, which would instead move totals. The reallocation should also leave a price

signature, with residential land becoming cheaper and industrial land dearer. And because the same growth motive drives debt-financed investment, tied leaders should borrow less. Effects on house-price growth, a step further and mediated by the slow conversion of land into housing, should be present but more muted. The reallocation should also leave a footprint on the real economy itself, with a lag. The visible industrial engine the tournament rewards, foreign investment and industrial employment, should wind down, residential activity should expand, and, because the reallocation shifts the composition of activity rather than shrinking it, aggregate output should not contract, and may even edge up. Two further implications discipline the interpretation. The effects should arise only for ties that actually move promotion incentives, not for other social connections that leave the promotion-GDP link intact, and they should be strongest among leaders with the most to gain from the tournament. We develop these implications in the order in which they build the argument, letting each result motivate the next.

4 Data

In this section, we first detail the data collection process of Chinese politicians' biographical data, followed by procedures we employed to construct the measure of political promotion. We then explain city-level real estate, land supply, and other macroeconomic data from various sources and present relevant descriptive statistics.

4.1 Political Data

We combine two sources of data to construct our sample on Chinese politicians. Our main source of political data, the Chinese Political Elite Database (CPED), contains extensive demographic information for Politburo/provincial/prefectural politicians.

Politicians in CPED include all city party secretaries and mayors, provincial party secretaries and governors, and all other full and alternate CCP Central Committee members

between 1995 and 2015.¹

CPED records the start and end dates, workplaces, and political ranks of every job assignment in each politician’s career, hand-collected from government websites, yearbooks, and other credible sources. We verify it against the Provincial and City Leader Database maintained by CSMAR and resolve any disparities manually against official government sources.

In short, we observe the universe of city and province party committee leaders who assumed office between 2001 and 2015, and for each we obtain biographical information and the entire career path, including educational background. Our analysis focuses on the 636 leader terms completed within the 2003–2015 window. We begin in 2003 because the marketization of urban land supply took off that year (Liu, Cao, Yan and Wang, 2016), the reform that makes the allocation of land a meaningful margin of a city leader’s choice. The promotion regressions are estimated on the 411 of these terms that have a measured over-term GDP growth rate and contribute identifying variation within their province-year cells, summarized in Table 1.

4.1.1 Promotion

The Chinese government is a highly unitary institution. Instead of elections, promotions of provincial and prefectural politicians are decided by government officials of higher political ranks. The power structure is the pyramid described in Section 2, namely the 25 Politburo members at the top, the provincial CCP committees below (13 members each, 34 provincial divisions in total), and the prefecture-level committees at the base (10–11 members each, 293 official prefecture cities in total). Leaders are generally promoted up this ladder level by level, and the promotion tournament is local. A city leader’s performance is evaluated relative to other city leaders from the same province (Chen, Li and Zhou, 2005, Yao and Zhang, 2015). We focus on city leaders in this paper and, following Wang, Zhang and Zhou (2020), measure promotion by movement up China’s regimented ladder of political ranks. Based on the observed career paths of politicians in the data, we define a government official as promoted if

¹We focus on the period before 2015 because since 2016, the Party Central Committee led by Xi Jinping has designated “housing is for living, not for speculation” as a long-term national strategy, and as a result, various local policy restrictions have been implemented to curb housing prices.

he is appointed to a new position with a higher political rank at the end of his term in office.

Fifty-six city leaders in our sample were dismissed during their political careers, commonly for corruption, which could introduce biases to our estimates (Cai, Henderson and Zhang, 2013, Fang, Wu, Zhang and Zhou, 2022). We exclude these politicians from the main analysis.

4.1.2 Promotion for Local Communist Leaders

There has been an extensive literature on the Chinese government’s personnel control. Li and Zhou (2005) find that for the turnover of provincial leaders, GDP performance, age, central connections, and years in office are among the most influential factors. At the city level, Yao and Zhang (2015) show that individual leaders matter for growth and that abler leaders are more likely to be promoted. Our promotion regressions condition on a similar set of characteristics, including education.

4.2 Real Estate Data

We obtain urban planning and land sales data aggregated at city level from China Real Estate Index System (CREIS) database maintained by China Index Academy. CREIS collected land transaction data from the Ministry of Land and Resources, and local Land Reserve Centers.

Information available in CREIS includes acreage, price, and land-use type for each parcel of land. These China Index Academy land-transaction records are widely used in research on China’s land market (Wang, Zhang and Zhou, 2020, Chang, Wang and Xiong, 2026). We measure land supply by the shares of land the city government lists for sale, which capture the leader’s allocation decision, and land prices by the realized auction-clearing transaction prices on parcels that sell.

4.3 Macroeconomic Series

National Bureau of Statistics of China (NBS) maintains annual macroeconomic series at the city level. For each city, we collect population (measured by usual residence), government in-budget revenue and expenditure, total city-wide deposits, average wage, GDP, secondary-

and tertiary-industry GDP, fixed investment, floor area sold for residential building, residential housing prices, and real estate investment by year during 2003–2015. Summary statistics for the land-market variables are reported in Table 2 and for the macro series in Table 3, and all price-related variables are normalized to a base year using the CPI published by NBS. The land-market regressions draw on prefecture cities with CREIS land-transaction coverage, up to 191 cities after excluding the four direct-controlled municipalities, of which 179 enter the baseline land panel once dismissed leaders and missing outcomes are excluded (Table 2, and pooling the municipalities back in is examined in Appendix Table 13). We impose no balanced-panel requirement and instead use all available city-years. Because CREIS’s systematic coverage of city land markets widens over the sample period, the land panel is unbalanced and concentrated in the better-covered years from the late 2000s on, so the land-share and land-price regressions rest on roughly 500 city-years and sample sizes vary across outcomes with data availability.

For house prices, our primary measure is the constant-quality residential price index of Fang, Gu, Xiong and Zhou (2016), who construct hedonic, repeat-sales-style indices from transaction-level data for roughly 120 prefecture cities. As Fang, Gu, Xiong and Zhou (2016) document, the official NBS average-price series conflate genuine price changes with shifts in the size, quality, and geographic mix of transacted units, so a constant-quality index is needed to measure house-price growth accurately. We therefore use the Fang, Gu, Xiong and Zhou (2016) index wherever it is available (through 2012) and splice on the NBS city-level residential price series for the remaining years of our sample, for which official coverage and quality have improved (Liu and Xiong, 2020). House-price growth is the annual log change in this spliced index.

4.4 Local Government Debt

Our measure of local government debt is the city-level panel of total debt owed by local government financing vehicles constructed by Huang, Pagano and Panizza (2020). Municipalities in our sample period could not borrow from banks or issue bonds in their own name, so

local borrowing ran through these vehicles, which the city capitalizes with transferred assets, usually land. The panel is assembled from the vehicles' balance sheets, which any vehicle applying to issue a bond must disclose for the current year and at least the three preceding years. It therefore captures total interest-bearing debt, namely short-term and long-term borrowing, notes payable, bonds outstanding, and other current liabilities, and not merely bond finance. Bank loans account for the bulk of this debt, with bonds rising from 6 percent of the total in 2006 to 21 percent in 2013 (Huang, Pagano and Panizza, 2020). Aggregated nationally, the series tracks the official National Audit Office figures to within five percent in 2012 and 2013 and matches their distribution across provinces. The panel covers 2006 through 2013, and coverage conditions on disclosure. The outcome in our regressions is the logarithm of the outstanding debt stock in a city-year. The debt regressions also control for the average coupon on the city's bond issues that year (the Average Bond Coupon row in Table 7), a summary measure of the cost of credit the city faces, so the estimated effect reflects the relaxation of career incentives rather than a movement in borrowing costs. Debt is a stock with substantial inertia (the within-city-term first-order autocorrelation is 0.60), which motivates the lagged-tie timing convention discussed in Section 5.

4.5 Real-Economy Outcomes

Section 5.4 examines a set of real-economy outcomes drawn from CEIC's prefecture-level China statistical series, merged to our sample by province and city name, namely foreign direct investment (utilized value, contracted value, and the number of contracts), sectoral employment and output, non-agricultural population, and residential floor space sold. Within-window coverage varies by series, namely roughly 1,000 to 1,550 city-year observations for the headline outcomes in the event-study samples. We examine these series in levels, per capita, and growth, and Section 5.4 reports which survive our pre-trend and placebo discipline. The interpretation checks of Section 5.3.4 draw on two further sources. We proxy net fiscal transfers from above with the ratio of general-budget expenditure to own revenue, both already in the analysis panel, and we measure municipal-infrastructure investment by funding source,

with central appropriations itemized separately, from the Urban Construction Statistical Yearbook for 2006 through 2015. For the sectoral decomposition of GDP we draw city value added by industry from provincial statistical yearbooks compiled by EPS China Data.

5 Empirical Results

The analysis proceeds along the chain of reasoning set out in Section 3. We begin with its first link, namely whether a hometown tie genuinely relaxes a city leader’s career incentive. We then follow the leader’s response, that is, how the relaxed incentive reshapes the allocation of land, whether that response operates through composition or scale, and how it surfaces in land and house prices and in local borrowing. We next subject the design to a battery of identification checks, namely a randomization-inference placebo, a specificity test against other social ties, and heterogeneity by promotion stakes, then weigh two alternative interpretations of the pattern, and, last, trace whether these political choices propagate into the real economy itself. Throughout, we estimate the magnitude of each effect with static regressions and read its dynamics and pre-trends from event studies around tie formation.

5.1 The Tie Decouples Promotion from Growth

A hometown tie alters the career incentive a city leader faces. The promotion of city leaders is widely held to reward economic performance. If a hometown tie blunts that link, then once a tie is present the growth-promotion relationship should weaken or disappear. We therefore regress a leader’s end-of-term promotion outcome on GDP performance, a hometown-tie indicator, and their interaction,

$$Y_{i,t} = \beta_0 + (\beta_1 + \beta_2 \text{Hometown Tie}_{i,t}) \times \text{GDP Growth}_{i,t} + \beta_3 \text{Hometown Tie}_{i,t} + \beta_4 X_{i,t} + \epsilon_{i,t} \quad (5.1)$$

where $Y_{i,t}$ is a promotion dummy for leader i whose term ends in year t , and each observation is one completed leader term. GDP growth is defined as the annualized GDP growth rate from when the leader took office until the term ended. Table 4 reports the estimates, and

Figure 1 displays the relationship they capture. Promotion is strongly increasing in growth for unconnected leaders and essentially flat for tied leaders.

Hometown tie is an indicator variable that takes the value one if and only if the following scenario happens. During the city leader's term, the central government appoints a new provincial leader to the province in which the city leader works, and the newly appointed provincial leader has the same city of birth as the city leader.²³ As mentioned, city-level Chinese politicians' promotion decisions are made by higher-level communist officials in the same province. The appointments of new provincial leaders during a city leader's term are made confidentially by the central party committee, and are hence unexpected by the city leaders in office. To rule out the possibility that a provincial leader favors his hometown comrades by appointing them endogenously, we restrict the definition of a hometown tie to city leaders who had already assumed office when the tie was established (i.e., the provincial leader is appointed at least one year after the city leader had assumed office). Given the salience of the hometown bond among Chinese officials (Section 2), we conjecture that sharing a hometown with the provincial leader shifts a city leader's promotion prospects, and hence the career incentive he faces. These ties are not rare. About one in seven leader-terms in our sample experiences one (57 of 411 in the promotion sample, Table 1), and a tie is active in about eight percent of city-years (Table 2), so the estimates that follow are not driven by a sparse handful of treated observations.

Coefficient β_1 indicates the correlation between GDP growth and promotion outcome, in the absence of any hometown tie. β_2 captures the effect of hometown tie on the sensitivity of promotion to GDP growth. A positive β_2 indicates that the effect of GDP on promotion

²Unlike in the U.S., the vast majority of city leaders are not local to the cities they govern. Between 2003 and 2015, only 5% of city leaders were born in the same city they managed. Only 0.5% of leaders had a hometown tie and were local.

³The four direct-controlled municipalities (Beijing, Shanghai, Tianjin, and Chongqing) have no provincial superior, namely their party secretaries hold provincial rank and are evaluated and promoted directly by the central leadership. For these four cities we define the hometown tie analogously at the central level, equal to one when a newly appointed Politburo member shares the municipality leader's birthplace. Because their promotion tournament operates at the central rather than provincial level, the baseline outcome samples exclude the four municipalities. Pooling them back in, with ties defined analogously against newly appointed Politburo members, leaves every result essentially unchanged (Appendix Table 13). The promotion estimation sample contains no municipality leader-terms, so the promotion column of that table is identical by construction.

is enhanced in the presence of a hometown tie, whereas a negative estimate for β_2 means a hometown tie diminishes the effect of GDP growth on promotion. The coefficient β_3 on the hometown-tie indicator captures the tie's own effect on promotion, evaluated at zero GDP growth. A positive β_3 indicates that a hometown tie raises a leader's promotion odds, whereas a negative estimate means it lowers them.

All specifications include a comprehensive set of fixed effects to control for unobserved characteristics that might affect a leader's promotion probability beyond the GDP-promotion linkage. City fixed effects take out level differences across cities in the likelihood that their leaders are promoted. With province-year fixed effects, our estimates compare city leaders evaluated by the same provincial committee in the same year. We further include demographic controls such as age and gender, which previous studies have argued are important factors in promotion decisions (Wang, Zhang and Zhou, 2020), and, to address the concern that the hometown tie might pick up leadership qualities specific to certain regions, birth-province fixed effects. Column (2) adds turnover fixed effects, comparing leaders who assumed their posts in the same year. Column (3) controls for the rank of the city leader, given that leaders of different ranks face different promotion odds, and column (4) further controls for whether the leader ever faced a disciplinary action. The coefficients of interest, namely those on GDP growth, the hometown tie, and their interaction, remain precisely estimated across all specifications.

Higher GDP growth is associated with a greater likelihood of being promoted. In the absence of a hometown tie, a one-standard-deviation increase in annualized GDP growth (about seven percentage points across leader terms) raises a leader's promotion probability by about 13 percentage points (the standardized coefficient of 0.131 in column 4), large relative to the 35% promotion rate of untied leaders, all else equal and absent a tie.

A hometown tie substantially reduces the importance of GDP performance in someone's evaluation for promotion. As the estimates in column (4) show, having a hometown tie cuts the sensitivity of promotion to GDP by 0.247 per standard deviation, more than offsetting

the 0.131 gradient.⁴ In fact, the sum $\beta_1 + \beta_2$ is not statistically distinguishable from zero. The null hypothesis that a hometown tie completely obviates the importance of GDP growth to a leader's promotion outcome is not rejected under a Wald test even at the 0.1 level, the most lenient conventional threshold, so the growth-promotion slope for tied leaders cannot be distinguished from zero at any standard significance level.

Conditional on performance and the fixed-effect comparisons, a hometown tie raises a leader's promotion odds. The estimate on the hometown-tie dummy is positive and statistically significant in every column, at the 5% level in columns (1) through (3) and at the 1% level in the full specification of column (4). Two clarifications guard against misreading these magnitudes. First, the main effect ($\beta_3 = 0.625$ in column 4) is the tie's effect evaluated at zero GDP growth. Because the interaction is negative, the tie raises promotion odds for any growth record below roughly 18% annualized growth, a threshold exceeded by about a quarter of sample growth records, with the boost largest for leaders with the weakest records. Averaged over the sample growth distribution, the marginal effect of a tie is +0.13 (s.e. 0.09), positive though imprecisely estimated. Second, the unconditional promotion rate is in fact lower for tied than untied leaders (0.25 versus 0.35, Table 1). The raw gap reflects composition rather than the tie's effect. A tie can only form when a new superior arrives mid-term, so tied terms are mechanically longer (4.8 versus 4.0 years), and longer terms are associated with worse promotion outcomes, while the regression's fixed effects compare leaders within the same province-year and cohort. Conditional on these comparisons, the tie helps.

Two facts emerge, and together they license the rest of the paper. Absent a tie, promotion is strongly increasing in GDP growth. Developing the local economy is a rewarding path to advancement. A hometown tie then eliminates that sensitivity. The growth-promotion link, so pronounced for unconnected leaders, is statistically indistinguishable from zero once a tie forms. A tie thus does exactly what our framework requires of it, namely it relaxes the GDP-promotion incentive facing an otherwise-comparable leader, without our ever having

⁴The tie $\times$ growth interaction is similar whether GDP growth is measured nominally, in real terms, or per capita, and the object we estimate is in any case the within-province-year difference in the growth-promotion slope between tied and untied leaders, which is invariant to the level of the average gradient.

to observe that incentive directly. This sets up the question that occupies the rest of the paper. What does a leader do with the land and credit at his disposal once the pressure to manufacture measured growth is lifted?

Before turning to that question, we situate the first stage in a contested literature on Chinese political selection. [Li and Zhou \(2005\)](#) document a growth-promotion link for provincial leaders, while [Shih, Adolph and Liu \(2012\)](#) find little robust performance gradient for Central Committee members, and [Jia, Kudamatsu and Seim \(2015\)](#) find that connections and growth act as complements in provincial-leader promotion. Three design differences lie between these studies and ours. We study prefecture leaders inside the explicit within-province tournament, not provincial leaders evaluated at the center. Our connection is a tie to the leader's direct evaluator that forms mid-term through the timing of the superior's appointment, not a pre-existing factional alignment that may itself reflect selection. And our outcome is promotion at the end of the very term the tie interrupts. A tie to one's current evaluator substitutes for the performance statistic that evaluator would otherwise rely on, which is precisely what [Table 4](#) measures, whereas the complementarity documented for factional ties operates at selection into higher office, where patrons elevate proteges who have also demonstrated competence. The two findings are not in conflict. They describe different margins.

The decomposition of this gradient does more than guard against a spurious aggregate. It tells us which growth the tournament rewards. Splitting the promotion gradient into the additive contributions of the primary, secondary, and tertiary sectors ([Table 5](#)), only the secondary-sector contribution carries a positive, statistically significant promotion gradient (significant at the 1% level and as large as the aggregate gradient itself), and the tie severs that contribution specifically, while the primary and tertiary contributions are neither significantly rewarded nor severed. Splitting the secondary contribution one step further, the construction component within it carries no positive reward and if anything a negative one (a per-standard-deviation gradient of -0.36 , significant at the 10% level), so the reward attaches to the industrial rather than the construction part of secondary output. We read this finer split as suggestive, since construction is a small and volatile share of GDP observed for only 164 leader terms, but it

points the same way as the rest of the evidence. The rewarded margin is thus the industrial sector that the attributability logic of Section 3 predicts, not a diffuse aggregate, and it is precisely this margin whose post-tie recomposition Section 5.4 traces, while the construction byproduct that the tournament does not reward is what rises after a tie. Because the object we estimate is the within-province-year difference in this slope between tied and untied leaders evaluated by the same committee, rather than the average gradient itself, it is also insulated from any level shift in the gradient, so a correlation that merely survived in the aggregate would not localize on the visible industrial margin in this way.

5.2 The Leader’s Policy Response: Land, Prices, and Debt

We now follow the leader’s response, tracing the margins the framework flagged, namely the allocation of land, land prices, local debt, and house-price growth, as a hometown tie forms. We regress each outcome on the hometown-tie status of city i in year t ,

$$Y_{i,t} = \beta_0 + \beta_1 \text{Hometown Tie}_{i,t} + \beta_2 X_{i,t} + \epsilon_{i,t} \quad (5.2)$$

where $X_{i,t}$ collects the controls. The key coefficient is β_1 on the hometown tie.

All specifications include city-term and province-by-year fixed effects, and we then add (log) GDP, (log) resident population, and (log) government in-budget fiscal revenue and expenditure cumulatively. The tie coefficient barely moves at any step, which indicates that neither economic fundamentals nor fiscal conditions drive the results. Our preferred specification adds year-within-term fixed effects (labeled “Turnover FE” in the tables), namely indicators for the year of a leader’s tenure in which an observation falls, the first year in office, the second, and so on (Ru, 2018). They absorb any systematic profile that outcomes trace over the course of a term. Including them matters here because a hometown tie can only form once a leader is already in office, so treated observations fall later in a leader’s term on average, and without absorbing the within-term profile the tie estimate could partly reflect where in the term a leader stands rather than the tie itself.

Reverse causality would require the Politburo to select provincial appointees on the basis of a single city's land market, and to do so through the accident of a shared birthplace with that city's leader. Provincial appointments are made centrally, for province- and faction-level reasons, and precede the outcomes we study. Section 5.3.1 tests this exogeneity claim directly by permuting superiors' birthplaces. The remaining concern is anticipation. If land and housing markets moved in advance of an expected hometown connection, our estimates would understate the response. The event-study analysis below addresses this by displaying the dynamic timing directly, allowing the reader to verify that the movements are concentrated in the years following tie formation rather than preceding it.

5.2.1 Land Reallocates Toward Residential Use

The most direct thing a leader controls is the land the city supplies, so we begin there. If the career incentive tilts land toward industry, the use most directly tied to the GDP that promotion rewards, then relaxing it should tilt land back toward residential use. This is exactly what we find. The land-share estimates (Table 8) and the residential land-price decline (Table 9) are precise and robust.

Consistent with this, residential land supply, measured as the ratio to total land supply, increases with hometown tie, whereas industrial land supply decreases. The estimates are notably stable across specifications. With no controls (column 1 of each panel), a hometown connection raises the residential share by 5.1 percentage points and lowers the industrial share by 5.9 percentage points. The coefficients barely move as the full control set is added (column 3 of each panel). This insensitivity to controls is reassuring, because the estimate does not depend on conditioning on covariates that are themselves plausibly affected by the political-incentive channel, so it is unlikely to be an artifact of "bad controls." In the preferred specification (column 4 of each panel), the effects are somewhat larger, the residential share rises by 6 percentage points and the industrial share falls by about 7 percentage points, and significant at the 5% level. Across city-years the residential land share averages about 50% (with a cross-sectional standard deviation of 17 percentage points) and the industrial share about 32%,

measured as shares of supplied building area. A hometown tie moves roughly six to seven percentage points between the two uses, on the order of two-fifths of a standard deviation of either share. We prefer building area, the parcel's floor space, to land area because floor space better reflects the economic activity a use generates, especially for residential land, which is built at far higher density than industrial land. The same pattern holds measuring shares by land area rather than building area (untabulated).

The same reallocation reaches commercial land, the third major use, on a one-year delay rather than on impact. The contemporaneous tie leaves the commercial share unmoved, but its one-year lag lowers that share by about four percentage points (a coefficient of -0.040 , significant at the 1% level, Appendix Table 12), a sizeable move against a commercial-share mean near 16%. The delay mirrors the lagged response of the local-debt stock, the decline shows up clearly in the event study (Section 5.2.4), and it clears the within-province placebo decisively (Section 5.3.1). The residential expansion therefore draws on both non-residential uses, industrial land immediately and commercial land a year later.

A natural next question, and one the fiscal literature has long pressed, is whether relaxed career pressure shows up in the land-sale revenue on which local budgets lean. A body of work on China's land finance holds that the growth incentives facing local leaders are part of what drives their reliance on land sales (Han and Kung, 2015, He, Nelson, Su, Zhang and Zhang, 2025, Liu and Xiong, 2020, Song and Xiong, 2018). The hometown tie offers a way to probe it, and our evidence, though too imprecise to rest a claim on, points the way this literature would predict. In Table 10 the one-year-lagged tie lowers total land sales revenue (a coefficient of -0.19 , significant at the 10 percent level), and the residential estimate is negative and larger in magnitude (-0.23) though not individually significant, consistent with residential land being the principal source of land revenue. The joint test across the three lags does not reject (total joint $p = 0.41$), so we do not over-read the regressions. The event study of Section 5.2.4 tells the same directional story. Total revenue softens at the two-year horizon (-0.46), a delayed profile that echoes the debt decline, and residential shows the largest by-type drop, with leads that are jointly flat (joint $p = 0.46$) and, where large, reflect a

run-up into the tie rather than a decline that precedes it. We therefore read the revenue margin as consistent with lower land sales after a tie, in line with the land-finance literature, rather than as evidence against the channel. Sales revenue is the product of price and quantity and is measured with considerable noise, so we rest our firmer conclusions on the composition and pricing of land, which a leader controls more directly and which our design measures more precisely.

The effect is compositional rather than expansionary. A central feature of our findings is that the hometown tie reallocates land *across* use types while we do not detect a change in the *total* quantity of land a city makes available. Table 11 reports a regression of (log) total land supply on hometown tie. Across all specifications, the coefficient on tie is close to zero and statistically indistinguishable from it, at -0.050 with no controls beyond the fixed effects, -0.035 adding (log) GDP and (log) population, -0.035 with the full control set, and -0.035 in the preferred specification with year-within-term fixed effects, all with $|t| \leq 0.42$.

We read this as a point estimate near zero rather than as a precise null that rules out any change in total supply. The total-supply regression is estimated on essentially the same panel as the share regressions and with the same two-way-clustered standard errors, and its point estimates sit close to zero, but the confidence interval is wide enough to admit moderate movements in the total. What is tightly estimated is the *compositional* shift, under the same specification and clustering. The total-supply estimate therefore tells us that the response operates mainly through the mix of land uses rather than through a clearly measured expansion of the overall allocation, and we test the scale-based alternatives it gestures toward, namely that tied leaders draw more transfers, credit, or political capacity to release land, directly and far more precisely in Section 5.3.4.

This compositional pattern carries two implications. First, it identifies the margin on which behavior moves most clearly, namely the relative shares of residential, industrial, and commercial land rather than the total quantity released. Second, it weighs against scale-based interpretations in which the tie mainly brings a large expansion of land resources, additional

political capacity to release land, or a broad loosening of fiscal discipline, because such mechanisms would predict total supply to expand alongside the compositional shift, whereas the point estimate is near zero. We do not rest this conclusion on the total-supply estimate alone, since its interval is wide, but on the direct tests of the resource channels in Section 5.3.4. The same compositional reading holds for the broader real economy on impact. Contemporaneously the tie moves none of fixed-asset or real-estate investment or infrastructure (paved-road area), while annual GDP growth is, if anything, marginally higher (+1.5 percentage points, significant at 5%, Appendix Table 15), a first hint of the delayed recomposition documented in Section 5.4. Tied leaders do not simply coast. They re-optimize the *composition* of land use and curtail debt while leaving the scale of other inputs, namely investment and infrastructure, unchanged. As we show in Section 5.4, output growth then edges up at a two-year horizon even though the resource base does not expand.

Table 9 then investigates how land prices respond when the proposed career incentive channel is shut down. Accompanying increased residential land supply and decreased industrial land supply, the unit price of residential land (per building area) falls while the unit price of industrial land rises. In the full-control specification (column 3 of each panel) the residential land price drops by about 23% (significant at 1%) and the industrial price rises by about 12% (significant at 10%). In the preferred specification (column 4 of each panel) the residential decline is about 19% (significant at 5%) and the industrial increase about 15% (significant at 10%). The residential-price decline is the more direct counterpart to the land-supply reallocation, and it is the price result the randomization placebo of Section 5.3.1 validates decisively. The industrial-price increase is the more tentative of the two, marginally significant and not separately validated by the placebo, so we read it as secondary corroboration of the reallocation, the direction a falling industrial supply implies.

5.2.2 Tied Leaders Curtail Borrowing

The same growth imperative that tilts land toward industry also drives borrowing, because debt-financed infrastructure is among the most direct ways for a leader to manufacture the

measured output that promotion rewards. Relaxing the career incentive should therefore slow the accumulation of debt, and it does. Because the level of debt is a stock with substantial inertia (the within-city-term AR(1) coefficient is 0.60), the contemporaneous tie cannot move it within a single year, and we therefore use the one-year-lagged tie. Columns (1) through (3) of Table 7 show that a hometown tie reduces the (log) level of local debt, with a coefficient near -0.32 (about a 28% reduction) that is stable as controls are progressively added, statistically significant at the 5% or 10% level. Adding year-within-term fixed effects to the full-control specification (column 5) leaves the result intact and sharpens it (a coefficient of -0.37 , about a 31% reduction, significant at 5%), and it survives the placebo test of Section 5.3.1 decisively. As we discuss under economic magnitudes below, this is the cumulative consequence of slowed borrowing over the tie’s life rather than a one-time repayment. Local government debt grew at an average of about 36% per year over our sample period, so the reduction that follows a tie, about 28% in the specifications without year-within-term effects and 31% in the preferred specification the placebo validates, is on the order of a full year of borrowing forgone, the cumulative effect of a leader slowing new borrowing rather than retiring debt already incurred.

Column (4) reports a distributed-lag specification including the contemporaneous, one-year-lagged, and two-year-lagged tie. The contemporaneous tie has no detectable effect on debt (coefficient -0.13 , statistically insignificant), consistent with debt’s stock nature. The one-year-lagged tie produces about a 28% reduction in debt (significant at the 10% level in this specification), and the two-year-lagged tie a further reduction of about 15% (significant at the 5% level). The pattern is consistent with borrowing decisions taking a year to translate into debt-stock changes and the effect persisting into year two before attenuating.

The choice of lagged versus contemporaneous tie is supported by Appendix Table 12, which estimates the contemporaneous (L_0) and one-year-lagged (L_1) tie jointly for each main outcome. Most land-share and land-price outcomes load on the contemporaneous tie, namely the residential share at $L_0 = 0.054$ ($p < 0.05$) and the residential price at $L_0 = -0.22$ ($p < 0.01$), with the industrial share pointing the same way ($L_0 = -0.045$) though imprecisely. Commercial land share, like the local-debt stock, loads on the one-year lag rather than the contempo-

aneous tie, with $L_1 = -0.040$ ($p < 0.01$) and L_0 statistically indistinguishable from zero. This dynamic profile reconciles the contemporaneous static regressions in the main tables (which average over years and find commercial null) with the event-study evidence in Section 5.2.4 (which isolates the year-of-effect and finds commercial highly significant). Outcomes that accumulate over time, the debt level in particular, load on the lag rather than the contemporaneous tie, motivating the lagged-tie specification used for debt in Table 7. Finally, the borrowing cut is specific to the local government’s own financing-vehicle debt rather than part of a broader credit contraction. Event studies of in-budget revenue and expenditure and of city-wide bank loan and deposit stocks around the tie show no statistically significant declines (untabulated, and if anything, city-wide loan growth ticks up). What the forgone borrowing would otherwise have financed, most plausibly off-budget, debt-financed investment by financing vehicles, is not separately observed in our data.

5.2.3 House-Price Growth Slows, Suggestively

The final and most downstream link in the chain is the housing market itself. If a tie makes residential land more abundant and cheaper, housing should eventually become cheaper too. This is the hardest link to pin down, precisely because land takes years to convert into housing. Table 6 shows the estimated effect on a city’s house-price growth rate. The specification uses the contemporaneous tie indicator (whose definition carries a one-year window) together with two lags of the dependent variable, since house-price growth is strongly autocorrelated. In columns (1) to (3), (log) GDP, (log) resident population, and government fiscal conditions are added gradually to check the robustness of the estimates. Throughout these specifications, the estimate for hometown tie remains similar in magnitude.

Estimates in Table 6 indicate that the hometown-tie channel is associated with slower house-price growth. Column (3) implies a decline of approximately 5.1 percentage points per year, economically meaningful relative to average house-price growth of about 13 percent a year over the sample period. We emphasize, however, that this is the least robust of our findings, and we rest no causal claim on it. The coefficient attenuates toward zero and loses sta-

tistical significance once year-within-term fixed effects are added (column 4). It does not clear the randomization-inference placebo of Section 5.3.1. And its event-study counterpart shows no significant post-tie effect and a marginally significant deep lead. Part of the attenuation is mechanical, in that a slow, delayed price response is absorbed by a single contemporaneous coefficient that also nets out year-within-term variation, but the placebo points to a deeper issue, namely within-term mean reversion in price growth generates negative estimates even under random ties. We therefore treat the house-price result as suggestive corroboration of the land-supply and land-price results rather than as an independent causal estimate. The cleaner and more directly measured price evidence is the decline in residential land prices in Table 9, which clears the placebo decisively. The result is at least not an artifact of our splicing the constant-quality price index of Fang, Gu, Xiong and Zhou (2016) (available through 2012) with the NBS city series thereafter. Restricting the sample to the constant-quality index alone (2003–2012) yields a similar estimate, if less precisely estimated on the smaller sample.

5.2.4 Dynamics and Pre-Trends

The static estimates establish the magnitudes. We now examine their timing, which also furnishes our first identification check. If a hometown tie causes the reallocation, the outcomes should move after the tie forms and not before, whereas a pre-existing trend would instead point to reverse causation or anticipation. To see this, we estimate an event study around the year a hometown tie first forms in a city. We measure event time at the city level, $\tau = t - t_c^*$, where t_c^* is the year of city c 's first hometown tie. Measuring event time at the city level, rather than within a single leader's term, allows the city's pre-tie years, including those served by the previous leader, to populate the leads at $\tau = -2$ and $\tau = -3$, which a within-term clock leaves too sparse to identify. The cross-leader level differences this introduces (an incoming leader may operate the city at a persistently different level) could in principle contaminate the dynamic coefficients, and we neutralize them by including a separate city-term fixed effect for each leader, which absorbs leader-specific level shifts while the city-level event clock supplies the within-city event-time variation. The comparison group is city-term-years in the same

province-year without an active tie.

Specifically, we estimate

$$Y_{i,t} = \sum_{\tau \neq -1} \beta_{\tau} \mathbb{1}\{\text{event time} = \tau\}_{i,t} + \alpha_i + \alpha_{p,t} + \alpha_s + \varepsilon_{i,t}$$

where i indexes city-term, t indexes year, the displayed event-time dummies cover $\tau = -3$ to $+2$ (with $\tau = -1$ omitted as the base), α_i is a city-term fixed effect (one per leader), $\alpha_{p,t}$ is a province-by-year fixed effect, and α_s is a year-within-term fixed effect. Following standard event-study practice we omit time-varying controls, which are partly endogenous to the political-incentive channel and would attenuate the dynamic coefficients. The full control set is retained in the main regression tables (Tables 6–9). The window is bounded on the post-tie side at $\tau = +2$, because post-tie observations must be active-tie years and a tie lapses when either leader rotates out, so under roughly four-year terms the active-tie sample thins quickly beyond two years. The pre-tie leads carry no such constraint, and we extend them further back, to $\tau = -5$, in figures where the pre-trend is the central concern. We complement it with the lag-motivation analysis of Appendix Table 12, a formal timing-of-effect test on the full sample. Standard errors are two-way clustered at the city and province-year levels, matching the main tables, and in all figures the $\tau = -1$ base is zero by construction.

A subtle issue is whether the post-tie dummies should pool observations regardless of whether the originating tie is still active. In our data, hometown ties are formed by the appointment of a province leader during a city leader’s term and end whenever either leader leaves office. Among our treated city-terms, 19% of $\tau = +1$ observations and 32% of $\tau = +2$ observations have already lost the tie. We therefore restrict the post-tie observations ($\tau \in \{0, +1, +2\}$) to those for which the tie is active in the year of measurement. Symmetrically, a pre-tie lead ($\tau < 0$) enters only if no tie is active that year, so that a previously-tied spell cannot masquerade as a clean pre-period. Each panel uses its full available data for the corresponding outcome under these restrictions. This active-tie restriction has an interpretive cost that the reader should bear in mind, because tie survival depends on neither leader having left of-

fice, and the tie itself raises the city leader’s promotion odds, so the post-tie coefficients are estimated on spells that survived. This, together with the binned base described next, is why the dynamic coefficients are mechanically larger than the static regression estimates (the residential-share peak of roughly 22 percentage points at $\tau = +1$, versus 6 percentage points in Table 8). The static coefficient averages the tie’s effect over its active years and pools short spells with long, while the event study isolates the peak response among spells still active. We therefore read the event study as evidence on timing and pre-trends, and rest all magnitude claims on the static regression estimates. The intention-to-treat version of the event study, with post-tie dummies assigned by event time alone, regardless of tie survival, shows the same shape with smaller magnitudes, as expected (residential share $+0.17$ at $\tau = +1$, debt -0.46 at $\tau = +2$), and flat leads throughout (joint lead $p \geq 0.48$, Appendix Figure 9).

A second subtle issue is that the omitted base ($\tau = -1$) implicitly includes both treated city-terms one year before tie formation and never-treated city-term-years at any calendar year. Lumping these populations into the same base would force the regression’s baseline to be a mixture of two arguably different distributions, making the dropped-degree-of-freedom interpretation of $\tau = -1$ less clean. To address this, we adopt a binned event-study specification (Schmidheiny and Siegloch, 2023). We keep treated observations outside the displayed window, at $\tau < -3$ and $\tau > +2$, in the regression but assign them to their own binned dummies, which absorb their level differences from the never-treated base. This matters materially. Post-tie years beyond $\tau = +2$ are, for outcomes such as debt and the residential land share, well into the treated regime, so leaving them in the base would drag the baseline toward the treated mean and attenuate the displayed coefficients. The binned dummies are estimated but not displayed, and the figures show the $[-3, +2]$ window.

We organize the event study into four figures, one per outcome family. Figure 2 plots land shares for residential, industrial, and commercial land. Figure 3 plots the (log) sold price per building area for the three land types. Figure 4 plots (log) sold sales revenue. Figure 5 plots the two aggregate outcomes, (log) local-government debt and house-price growth. Price and sales panels use the sold (auction-clearing) variables for consistency with the main regression tables,

and the share panels use supplied shares because they reflect the leader’s listing decision before market matching.

In Figure 2, the residential share shows no pre-trend ($\beta_{-3} \approx 0$, $p = 0.99$, and $\beta_{-2} = 8$ percentage points, $p = 0.49$, the latter imprecisely estimated, with joint lead test $p = 0.76$) and rises sharply after the tie, by 22.2 percentage points at $\tau = +1$ ($p = 0.01$) and 19.5 at $\tau = +2$ ($p = 0.04$). The industrial share moves in the opposite direction post-tie (-10.7 percentage points at $\tau = +2$), but neither its post-tie decline ($p = 0.12$) nor its leads (around -9 percentage points, individually and jointly insignificant, joint $p = 0.77$) are precisely estimated, so the industrial panel is less informative about timing than the residential one, which carries the sharper evidence. The commercial share shows a marginal positive lead at $\tau = -3$ ($+0.098$, $p = 0.07$, with joint lead $p = 0.20$) and declines after the tie (-0.117 at $\tau = +1$, $p = 0.002$). The clean residential pre-period is the most direct visual support for the parallel-trends assumption underlying the paper’s central land-reallocation result. In Figure 3, the (log) sold residential price is flat pre-tie (joint lead $p = 0.60$) and falls afterward, by 0.30 at $\tau = 0$ ($p = 0.07$) and 0.50 at $\tau = +2$ ($p = 0.03$). We do not read the commercial price, by contrast. Its event-study point estimate is negative at $\tau = +2$ but rests on a degenerate two-way clustered variance, the static regression points the other way, and a falling commercial supply should in any case push the commercial price up rather than down. The industrial price is too imprecise to read on its own in the event study. Its point estimate turns positive by the two-year horizon ($+0.19$ at $\tau = +2$), in the same direction as the regression’s industrial-price increase, but the post-tie path is jointly insignificant (joint $p = 0.14$), so we rest the industrial-price result on Table 9. Figure 4 adds the sold-revenue dynamics, for total land sales and by type. Total revenue is flat through the year of the tie and softens at the two-year horizon (-0.46 at $\tau = +2$), a delayed profile that echoes the debt decline and is consistent with a land-finance machine that slows as borrowing is curtailed. We do not lean on this, treating it as suggestive at most, because its pre-tie leads are only borderline flat (joint $p = 0.13$), it does not clear the within-province placebo ($p \approx 0.10$, as with house-price growth), and the static distributed-lag regression, which spreads the dynamics across three lag coefficients, leaves the cumulative

effect on total revenue indistinguishable from zero, even though the one-year-lagged tie is negative and marginally significant (Table 10). Among the by-type series, residential revenue shows the largest drop (-1.04 at $\tau = +2$), with leads that are jointly flat (joint $p = 0.46$) and a large one (-1.29 at $\tau = -3$) that reflects a run-up into the tie rather than a pre-decline, while industrial and commercial revenue are imprecise throughout. The by-type softening is the arithmetic of price times quantity, namely the sold residential price falls (-0.50 at $\tau = +2$) while sold quantity drifts down only noisily, so recorded revenue eases even as the supplied residential share expands.

Figure 5 turns to (log) local government debt. The debt path shows positive but statistically insignificant leads ($\beta_{-3} = 0.12$, $p = 0.60$, and $\beta_{-2} = 0.20$, $p = 0.38$, with joint lead $p = 0.67$) and falls sharply after the tie, with -0.54 at $\tau = +1$ ($p = 0.08$) and -0.70 at $\tau = +2$ ($p = 0.03$). The pre-period point estimates drift upward within wide confidence intervals, and the post-tie reversal is sharp, mirroring the one-year-lagged estimate in Table 7.

The house-price-growth panel of Figure 5 we read, like the rest of the house-price evidence, as suggestive rather than firm. The post-tie coefficients are negative but individually insignificant (-0.049 at $\tau = +2$, $p = 0.20$), and the joint lead test does not reject ($p = 0.18$). The path's defining feature, though, is a hump peaking at the omitted $\tau = -1$ base, with negative coefficients on both sides including the deep lead (-0.101 at $\tau = -3$, $p = 0.07$). This is the within-term mean-reversion that the randomization placebo of Section 5.3.1 identifies, under which even random ties generate negative house-price-growth coefficients, and it is why the house-price reduced form sits inside that placebo distribution ($p = 0.14$) rather than outside it. We therefore display the dynamics for transparency but rest no causal weight on them.

5.3 Identification Checks and Alternative Interpretations

We now subject the design to three sharper checks, namely a randomization-inference placebo that directly tests the exogeneity of tie formation, a specificity test against other social ties, and heterogeneity by the stakes a leader has in the promotion tournament, then close these checks by weighing two alternative interpretations of the pattern. We begin with two checks

on the baseline sample, confirming that neither of the restrictions we imposed in constructing it drives the results. First, nothing hinges on excluding the four direct-controlled municipalities (Beijing, Shanghai, Tianjin, and Chongqing) from the baseline. Their ties are defined at the central rather than provincial level, and Appendix Table 13 re-estimates the preferred specification of each main result pooling them back in, with every coefficient essentially unchanged in magnitude (the promotion sample contains no municipality leader-terms, so its column is identical by construction). Second, re-estimating the main outcomes including the 56 dismissed leaders leaves the land and debt results unchanged (Appendix Table 14).

5.3.1 Placebo Test: Permuting Superiors' Birthplaces

The identifying claim is that, conditional on our fixed effects, the formation of a hometown tie, namely a newly appointed provincial leader who happens to share a city leader's birthplace, is as good as random with respect to a city's land and housing trajectory. We subject this claim to a randomization-inference test that randomizes precisely the object we treat as exogenous, namely the superior's birthplace. We hold fixed the real appointment timing and province of every provincial leader and the real birthplaces of every city leader, and randomly permute provincial leaders' birthplaces among themselves within province. Each permutation is run through the identical tie-construction rule, and we re-estimate the full-control specification for each outcome. We repeat this 500 times to build a null distribution for the coefficient on hometown tie under fake assignments. Permuting within rather than across provinces is essential because a national reshuffle would mechanically collapse the rate of hometown matches and reject by construction. Permuting within province preserves each province's local-origin base rate exactly (the number of placebo ties matches the true count) and randomizes only which appointment, in which year, carries which hometown, namely the timing variation our design exploits. The permutations are run on the baseline sample under the preferred specification of each outcome. By construction, feeding the true birthplaces through the identical machinery reproduces the headline estimates of the main tables to the digit.

Figure 6 reports the result. For the five core outcomes the true-birthplace estimate (red

dashed line) lies entirely outside the placebo distribution. None of the 500 within-province permutations produces a coefficient as large in magnitude as the real one for the residential land share (+0.060), the industrial land share (−0.071), the commercial land share (−0.043, on its one-year lag), the residential land price (−0.205), or local government debt (−0.373), giving placebo p -values below 0.002. The probability that a random reassignment of superiors' hometowns reproduces our reallocation, price, and debt results is therefore negligible. House-price growth is the exception. Its true coefficient (−0.051) sits inside the placebo distribution ($p = 0.14$), because even random within-province ties generate a mean coefficient of about −0.035, reflecting a within-term mean-reversion in price growth that the permutation does not break. We read this as one more reason to treat the house-price-growth reduced form as suggestive, consistent with the significant pre-tie lead in its event study, and to rest the paper's causal weight on the land-composition, land-price, and debt results, which the placebo validates decisively.

5.3.2 Specificity: It Is the Hometown Tie

A complementary concern is that our hometown-tie variable proxies for generic political connectedness, that is, that any social tie linking a city leader to a newly appointed superior would relax promotion pressure and move land and debt. It does not. We re-estimate every main outcome using two alternative social ties recorded in our data, a shared party school and a shared original (undergraduate) school. These are bona fide political connections in the Chinese setting, and indeed the party-school tie is more common in our sample than the hometown tie (194 versus 103 nonzero city-years), yet, as Appendix Table 18 reports, neither reproduces our pattern of results. The coefficients are small and statistically insignificant, with three marginal (10%) exceptions, two of the opposite sign to ours, and one (the original-school tie on debt, −0.13) of the same sign but a third of the hometown magnitude and, unlike the hometown tie, unaccompanied by any effect on the promotion-GDP link. Pooling all three ties into an “any-tie” indicator likewise produces no effect (untabulated). The reason is visible in the first stage. Only the hometown tie removes the sensitivity of promotion to GDP perfor-

mance. The tie $\times$ GDP-growth interaction in the promotion regression is -0.25 per standard deviation ($t = -2.6$) for hometown ties but small and statistically insignificant for both the party-school ($+0.07$, $t = 0.8$) and original-school (-0.05 , $t = -0.5$) ties (reported in the note to Table 18). Because only the hometown tie relaxes the GDP-promotion incentive, only it propagates to land allocation, prices, and debt. This pattern is difficult to reconcile with any account in which our results reflect generic political connectedness, or a social tie that merely happens to coincide with the timing of appointments.

5.3.3 Heterogeneity: The Effect Tracks Promotion Stakes

If the channel operates through career incentives, the tie's effects should be concentrated among leaders who are genuinely competing for promotion, and muted for those effectively out of the running. We test this by interacting the hometown tie with an indicator for leaders who have passed the customary age ceiling for their rank, namely a start-of-term age above 55 for prefecture-rank officials, 60 for sub-provincial, and 65 for provincial, for whom further promotion is largely foreclosed. Appendix Table 19 is consistent with the prediction, most sharply for debt. The effect on every outcome is at least as large for high-stakes leaders as in the pooled sample, and the point estimates attenuate for out-of-tournament leaders. For the land shares and the land price, however, the interactions are imprecisely estimated, so the evidence there is directional rather than sharp. The debt effect is the clearest case. A reduction of roughly 0.47 log points for high-stakes leaders shrinks to an implied -0.10 for out-of-tournament leaders, with a marginally significant offsetting interaction ($+0.38$, $t = 1.9$). That the strongest response is governed by whether a leader can still be promoted supports the interpretation that the operative force is the GDP-promotion career incentive itself, rather than some fixed characteristic of cities that happen to receive tied leaders.

5.3.4 Alternative Interpretations

Two alternative interpretations of the evidence call for explicit treatment, and a third, complementary account of local-government price management deserves comment alongside them.

The first concerns the bundled nature of the treatment, in that a tie both raises promotion odds and severs the growth-promotion link, so the behavioral response could in principle reflect an anticipated-promotion channel, namely a leader who expects to depart soon invests less in long-gestation industrial projects, rather than relaxed growth pressure. Two observations weigh against this reading, though we cannot rule it out entirely. First, among leaders still below the age ceiling, the margin on which an anticipation story operates, the tie's effects do not vary with the remaining career horizon (the distance to the rank-specific retirement ceiling), which that story predicts they should (untabulated). The sharp attenuation documented above occurs at the eligibility margin itself, which both interpretations share. Second, and more telling, the real-economy evidence of Section 5.4 disciplines the interpretation. A leader merely coasting toward an expected promotion has no reason to expect the city's industrial engine to wind down even as output holds up, whereas that recomposition is what relaxing the career incentive itself predicts.

That complementary account concerns the active price management documented by Chang, Wang and Xiong (2026), who show that during the post-2020 downturn local governments propped up residential land and house prices through countercyclical land purchases by their financing vehicles and limits on new-home sales permits, producing a divergence between prices and transaction volumes. A reader might ask whether our lower residential prices and lower debt are simply a tied leader easing off such support rather than reallocating land. The two accounts operate on different objects. Their instruments manage the price level of residential land and housing, whereas our central result is the composition of primary land supply, with the residential share rising and the industrial share falling while the total quantity released does not move (Table 11). Supporting prices, whether by buying land or by rationing sales permits, does not shift the industrial-residential mix at a fixed total, so the reallocation at the heart of the paper is not a price-support artifact. Two further features point the same way. The industrial land price, if anything, rises as the residential price falls (a result we flagged above as secondary), an asymmetry that a supply reallocation predicts but that withdrawing residential price support does not. And the real-economy recomposition of Section 5.4, with

foreign investment and industrial employment down, housing reaching households up, and output holding up, lies outside any pure price-management account. Where the two accounts meet is in treating land and land-backed debt as strategic levers. Chang, Wang and Xiong (2026) identify instruments through which local governments manage prices, while we identify the political-career incentive that governs how a leader allocates land and incurs debt in the first place, so we read the two as complementary rather than rival.

The second alternative is preferential treatment from above. A newly arrived superior who favors his hometown comrade might channel resources toward the tied city, through fiscal transfers, favorable project and credit allocation, or laxer oversight of borrowing, and the downstream outcomes could then reflect treatment from above rather than any change in the leader's own behavior. Each of these channels is directly testable, and each runs empty or in the wrong direction. The transfer test is the comprehensive one. Because cities in our period could not borrow within the general budget, general-budget expenditure in excess of own revenue, the revenue a city raises itself, is financed by transfers from above, and because every such transfer reaches the city through the province, the province's own funds together with the central funds it sub-allocates, the ratio of expenditure to own revenue captures precisely the margin a provincial patron controls. Land-sale proceeds do not enter this ratio, because they accrue to the separate governmental-fund budget rather than to the general public budget. The margin is wide, with expenditure running roughly 1.7 times own revenue over our period, yet the tie has a precisely estimated zero effect on this ratio at every horizon from five years before the tie to two years after (Appendix Figure 10). Project money corroborates this at the funding-source level. We measure it with static regressions rather than event studies, because the Urban Construction Statistical Yearbook begins only in 2006 and leaves the year-by-year leads on these series too thinly populated to be reliable. No source of municipal-infrastructure investment rises in tied city-years (Appendix Table 16), with total infrastructure funding and central appropriations carrying negative point estimates and the local-appropriation line that bundles provincial project money with the city's own funds flat. Total bank loans, loan growth, and credit intensity are likewise unchanged, as are the total

land supply the city makes available (Table 11) and fixed investment and infrastructure (Appendix Table 15). Laxer oversight of borrowing predicts more debt, whereas the debt stock falls by about 28 percent, and resource channeling predicts more industrial activity, whereas foreign investment and industrial employment growth decline (Section 5.4). Two further patterns are difficult for a treatment-from-above story to accommodate. The effects attenuate sharply once the leader ages past the promotion-eligibility ceiling (Section 5.3.3), although a patron’s resources have no reason to follow the client’s eligibility clock, and other social ties that plausibly carry generic favoritism, such as a shared alma mater, move none of the outcomes (Section 5.3.2). What survives is favoritism in the promotion rule itself, namely the patron promotes the tied leader with little regard to growth. That is not an alternative to our interpretation. It is the source of the incentive change whose behavioral consequences the paper traces.

5.4 From Policy Levers to the Real Economy: The Recomposition of Growth

The results so far concern the instruments a leader directly controls, namely the composition of land and the stock of debt. Whether these political choices leave a footprint on the real economy, or remain confined to the leader’s policy levers, is a separate question, and we turn to it now. Because real activity responds to land allocation only after land is built upon, occupied, and put to use, we measure these outcomes with the same city-level event study and within-province placebo developed above, reading effects at the two-year horizon at which the slow conversion of land into activity should surface. The real-economy series are drawn from the CEIC prefecture panel described in Section 4. Figure 7 plots the dynamics on the same $\tau \in [-3, +2]$ window as the land-market figures, annotating each panel with its within-province placebo p -value. Joint tests of the displayed leads fail to reject flat pre-trends for any outcome (p -values from 0.19 to 0.95).

Three patterns emerge. The first is that the city’s industrial growth engine winds down. Foreign direct investment, the most visible prize in the local growth tournament, falls on every measure we observe, namely utilized FDI by 0.35 log points at $\tau = +2$, contracted

FDI by 0.58, and the number of FDI contracts by 0.16, clearing the within-province placebo at the 5% level for the first two measures and the 10% level for the third (placebo $p = 0.040$, 0.002, and 0.054). The industrial workforce contracts. Growth in secondary-sector employment falls (-0.099 , placebo $p = 0.01$) and the city's non-agricultural population, its stock of urban, largely industrial workers, declines (-0.058 , $p = 0.03$).

The second pattern is the mirror image on the household side. Residential floor space sold per capita, namely housing actually delivered to households, rises by 0.16 log points by $\tau = +2$. This is the welfare-relevant counterpart of the residential land reallocation, because housing is typically the dominant asset on household balance sheets in emerging economies, China included (Badarinza, Campbell and Ramadorai, 2016, Badarinza, Balasubramaniam and Ramadorai, 2019), so the supply of housing to households is where the land reallocation would first touch household welfare. It clears the placebo only marginally ($p = 0.09$), and the broader set of household-welfare outcomes we examined, namely disposable income, consumption, and fertility, a margin that housing access has been shown to move causally (van Doornik, Fazio, Ramadorai and Skrastins, 2025), does not move. We therefore read the household-side evidence as the weakest of the three. Across these real-economy families we examined many candidate outcomes and transformations, in levels, per capita, and growth, and an outcome enters our confirmed set only when it is both pre-trend-clean and clears the within-province placebo, so we lead on the coherent sign pattern across the confirmed set rather than on any single estimate. The candidates that fail this discipline, such as industrial emissions on a pre-trend and residential floor space in levels and disposable-income growth on the placebo, we treat as rejected (untabulated).

The third pattern is that aggregate output does not fall, and if anything it rises. The rise is a recomposition rather than a contradiction, because what grows is construction and the output it throws off, not the visible industrial effort the promotion tournament rewarded. GDP growth increases by 0.05 (placebo $p = 0.004$) by the second post-tie year. The recomposition is thus not a contraction. The city produces at least as much, but a different mix, namely less foreign-investment-driven, labor-intensive industry, and more residential and construction

activity. Two caveats discipline this reading. First, the natural reconciliation of a rising secondary sector with falling secondary-sector employment is that construction, which sits inside secondary industry, expands as residential land is built out while labor-intensive manufacturing contracts. We can examine this directly. Using the provincial-yearbook decomposition of city GDP by industry (Section 4), on the common set of cities for which the secondary-sector split is observed (87), construction value added grows fastest after a tie (a coefficient of about 0.20), while the non-construction remainder of secondary value added rises only mildly (about 0.07) and tertiary value added is flat (Figure 8). Because construction is a small share of secondary value added, the pattern points to the real-estate complex, namely construction together with the material inputs a build-out demands, which fall inside industry, rather than to the foreign-investment-driven manufacturing the tournament rewards, which contracts on the FDI and employment margins documented above. The split is estimated on few cities and the panels are imprecise, so we read it as suggestive, though it is consistent with the output rise being the byproduct of the residential build-out rather than a revival of the rewarded industrial effort. Second, the scale of inputs does not expand, because investment and infrastructure are unchanged on impact (Appendix Table 15) and we detect no increase in total land supply (Table 11), so the output increase does not reflect a larger resource base, at least on impact. Third, and bearing most on interpretation, we cannot fully separate a more efficient use of the same resources from an alternative in which a tie leads the province to channel resources, namely construction projects, administrative attention, toward a favored city, raising its output and reducing its own borrowing without any genuine reallocation. Two features of the evidence sit awkwardly with a simple resource-favoritism story, namely the tied city's foreign investment, industrial employment, and urban population fall rather than rise, and its on-impact investment is flat while total land supply is not detectably higher, but a narrower channeling of construction resources would survive them. Nor does the relative comparison reflect discouraged competitors rather than a genuine tied-city response, because untied cities in the same province show no change in growth, foreign investment, or land composition when a province-mate becomes tied (Appendix Table 17). We therefore rest no welfare claim

on the output increase, reading it cautiously as evidence that relaxing the career incentive recomposes local growth without contracting it.

5.4.1 Why Output Rises When the Growth Incentive Is Removed

The output increase is a prediction of the career-incentive account, not a puzzle for it, and the evidence already assembled shows why. What the tournament rewards is not output as such but the visible industrial effort a superior can credit to the leader, and the first stage pins the rewarded growth to the secondary sector specifically (Table 5). When a tie removes that incentive, it is exactly this effort margin that recedes. Foreign investment and industrial employment, the most visible and attributable signals of a leader's growth effort, both fall (Figure 7). The output that rises comes from elsewhere, the construction that the residential land build-out throws off (Figure 8), which the first stage indicates the tournament does not reward, and if anything penalizes (Table 5), and which a leader chasing promotion has little reason to prioritize. Output therefore rises not because the rewarded effort grew but because a less-rewarded byproduct did. GDP is an outcome of the leader's choices, not a choice itself, so once the steer toward the creditable industrial margin is lifted, output need not fall even as the rewarded effort recedes. This is the multitasking logic of [Holmström and Milgrom \(1991\)](#), by which an agent reallocates effort toward the dimensions a principal can measure, and here it shapes what local growth is made of. Independent evidence is consistent with such a visible-achievement bias, namely the net productivity of China's politically driven infrastructure is estimated to be neutral or negative, with officials favoring visible, high-profile projects ([Qian, Ru and Xiong, 2025](#), [Robinson and Torvik, 2005](#)). We are careful about what this does and does not establish. We do not claim the industrial land allocation is broadly inefficient, because [He, Nelson, Su, Zhang and Zhang \(2025\)](#) show it is, on average, substantially rationalized by the future tax revenues industrial land generates, and the direction of our reallocation, namely industrial toward residential, coincides with the one they argue is value-enhancing in high-demand cities. What we add is the political-career cause of the reallocation, identified causally and read through the Mandarin model, and the evidence that it operates at the margin, within

a leader’s tenure, when promotion pressure is relaxed.

Read this way, the recomposition supplies leader-level evidence for the career-incentive mechanism at the heart of the aggregate “Mandarin” account (Song and Xiong, 2026), and sharpens it. Career incentives shape not the level of local growth so much as its character, steering economies toward visible, industry- and debt-financed activity and away from residential use the tournament cannot credit. Two limits bound the interpretation. We do not measure productivity directly, so the output increase is at most consistent with a value-enhancing reallocation, not a welfare estimate. And although the construction split within the secondary sector rests on only 164 leader terms and we read it as suggestive, decomposing the gradient localizes the rewarded margin in the secondary sector and, within it, points the reward toward industry and away from construction (Table 5), the same margins the real-economy reallocation implicates, so the first-stage reward function and the real-economy response point to the same place. Within the rising secondary output, the non-construction part edges up only mildly, far more slowly than construction, and as an output, consistent with the build-out’s material demand, rather than the effort margin the tournament scored, so even the part that grows is not the effort the tournament rewarded.

6 Conclusion

In this paper, we provide reduced-form causal evidence that the career incentives created by China’s GDP-based promotion system are a first-order determinant of how local officials allocate land and how much debt their cities take on. Exploiting the plausibly exogenous timing of provincial and central leadership appointments, and the hometown ties they create, we show that when GDP-promotion pressure is relaxed, city leaders reallocate land toward residential use and away from both industrial and commercial land, the latter with a one-year lag, lower residential land prices, and curtail local government debt. This response is compositional rather than expansionary. We do not detect a change in the total quantity of land supplied, and direct tests of transfers, credit, and project allocation from above come back null or point the wrong way for a favoritism account, so the channel we identify operates through the com-

position of land use rather than through an expansion of scale. House-price growth also slows in tied cities, though we treat this as suggestive corroboration rather than as an independent result. A randomization-inference placebo that permutes superiors' birthplaces confirms that the land-reallocation, land-price, and debt results are not artifacts of the appointment process. Tracing the channel one step further, into the real economy, we find that the reallocation recomposes local growth. The visible industrial engine the tournament rewards, namely foreign investment and industrial employment, winds down, residential housing reaching households appears to expand, and aggregate output does not fall and may even rise. Career incentives shape the character of local growth, not merely its level, steering officials toward the activity a promotion tournament can credit and away from uses it cannot.

These findings carry a clear policy implication, namely the criteria by which local officials are evaluated and promoted are themselves a lever over China's land, housing, and local-debt outcomes. Measures to contain the housing boom and the buildup of local government debt that focus only on credit conditions or demand-side instruments may miss a more fundamental driver, namely the political-incentive structure facing the very officials who supply land and incur debt. We echo recent policy analysis arguing that durably derisking China's real estate sector requires replacing the financing model that ties local governments to land revenue and debt (Xiong, 2025, Chang, Wang and Xiong, 2026). Our evidence adds that the career incentives of the very officials who operate that model are part of what sustains it, with the promotion tournament's bias toward visible, creditable achievement leaving its own mark on China's land prices and local government debt.

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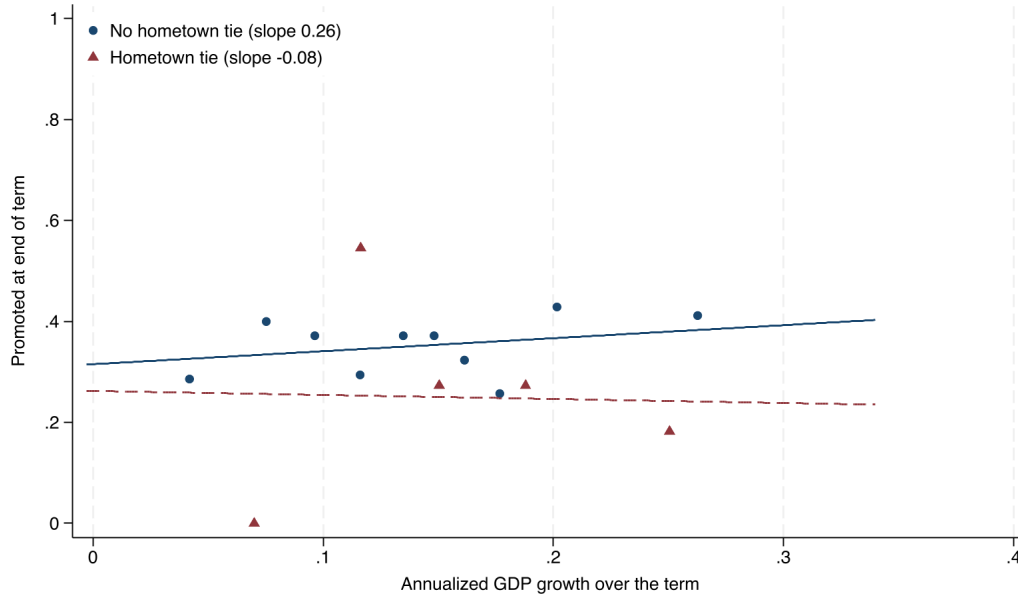
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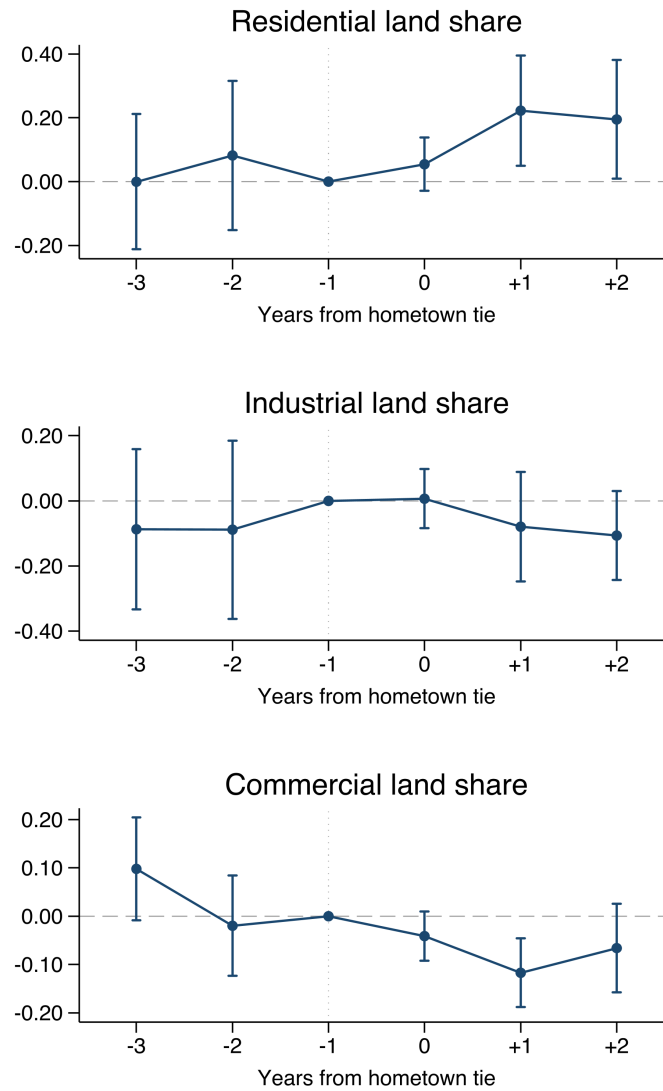
7 Figures

Figure 1: Promotion, GDP Growth, and the Hometown Tie



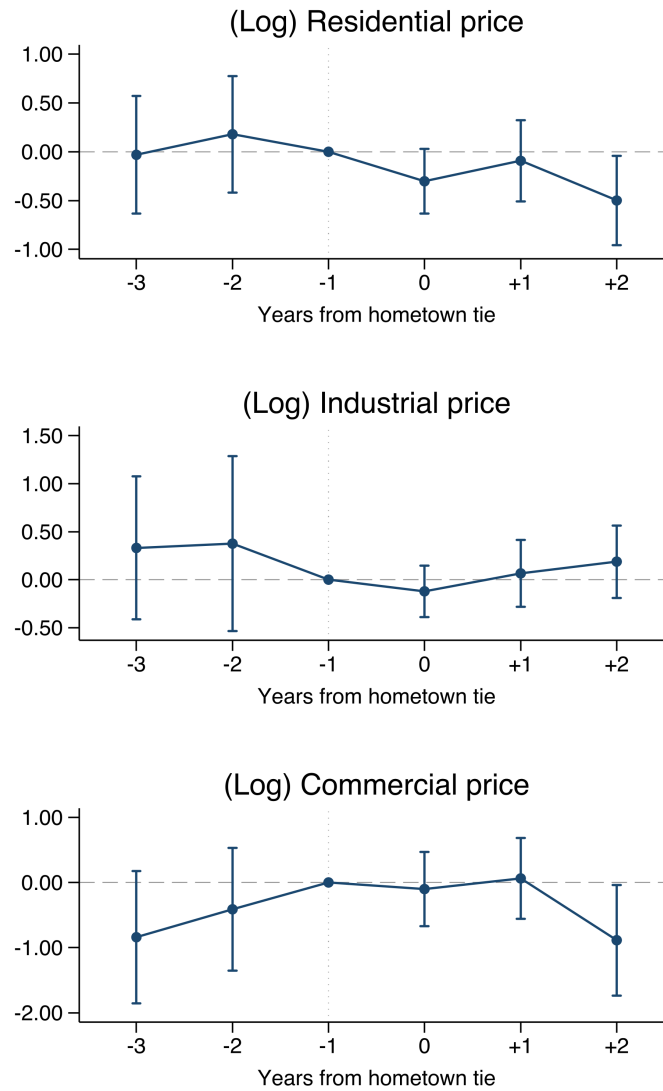
Notes. Binned means of the end-of-term promotion indicator against annualized GDP growth over the term, separately for leader terms without (circles, ten bins) and with (triangles, five bins) a hometown tie, on the promotion estimation sample of Table 4 (growth trimmed at the 1st and 99th percentiles for display). Lines are unconditional linear fits estimated on the underlying terms.

Figure 2: Event Study: Planned Land Shares by Type



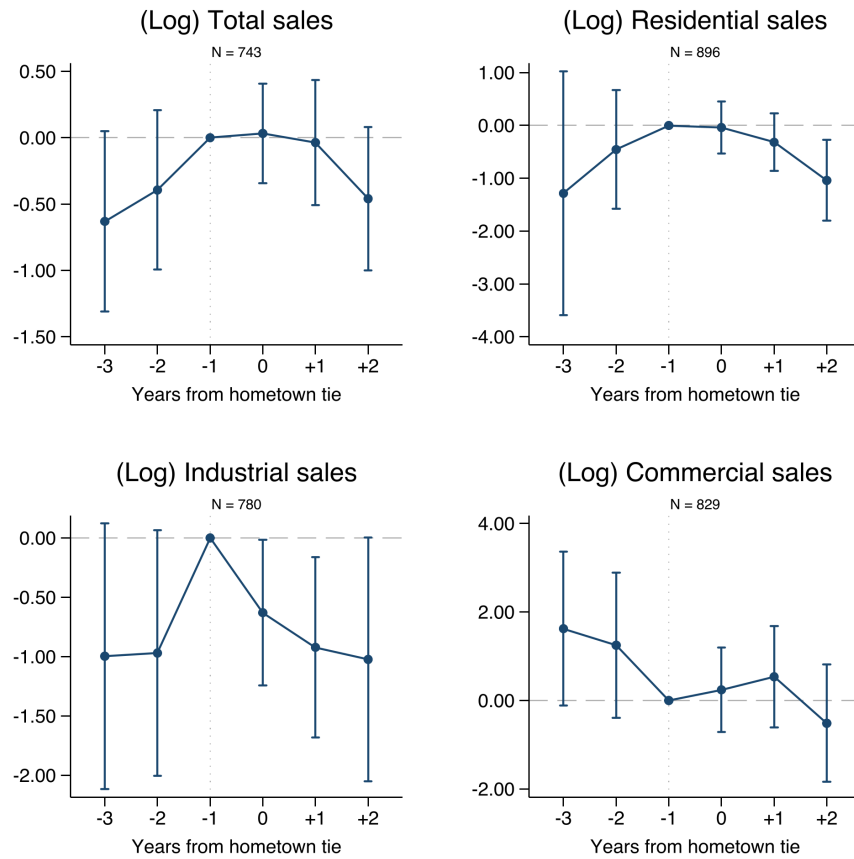
Notes. Event-study coefficients β_τ from separate regressions of the supplied land share on event-time dummies, τ years from a city's first hometown tie, for residential, industrial, and commercial land. The omitted base is $\tau = -1$. Specifications include city-term, province-by-year, and year-within-term fixed effects, with post-tie years restricted to active ties, leads to no-tie years, and out-of-window dummies binned. Standard errors are two-way clustered at the city and province-year levels. Bars are 95% confidence intervals. Source: CREIS.

Figure 3: Event Study: (Log) Sold Land Price by Type



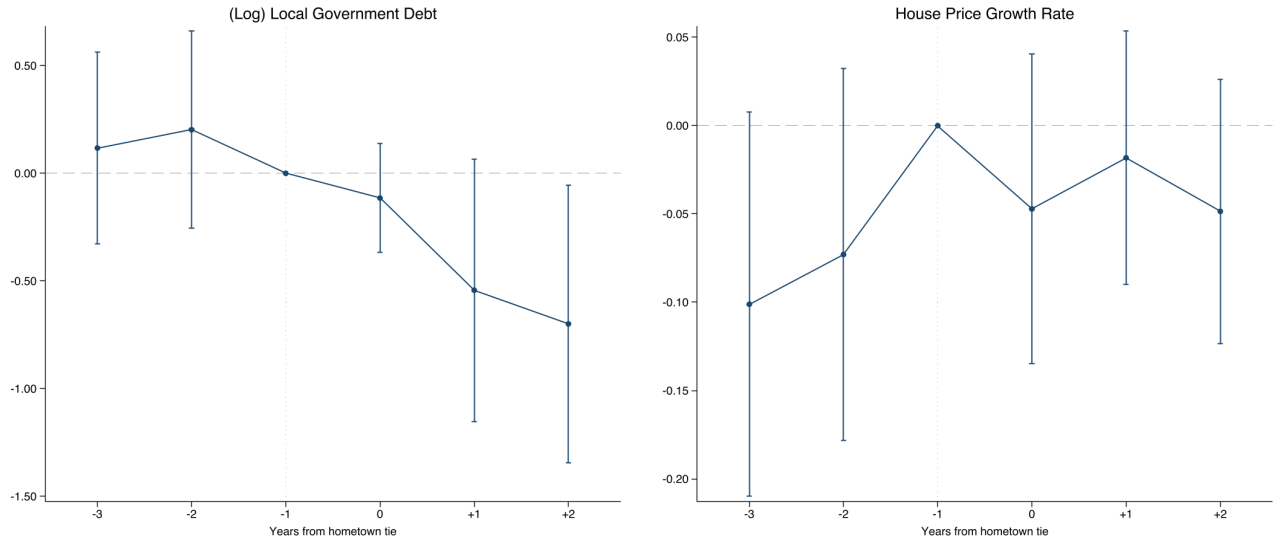
Notes. Event-study coefficients for the log sold price per building area, by land type. Specifications, fixed effects, controls, and standard-error clustering match Figure 2, except that the commercial-price panel reports city-clustered standard errors. The omitted base is $\tau = -1$. Source: CREIS.

Figure 4: Event Study: (Log) Land Sales Revenue, Total and by Type



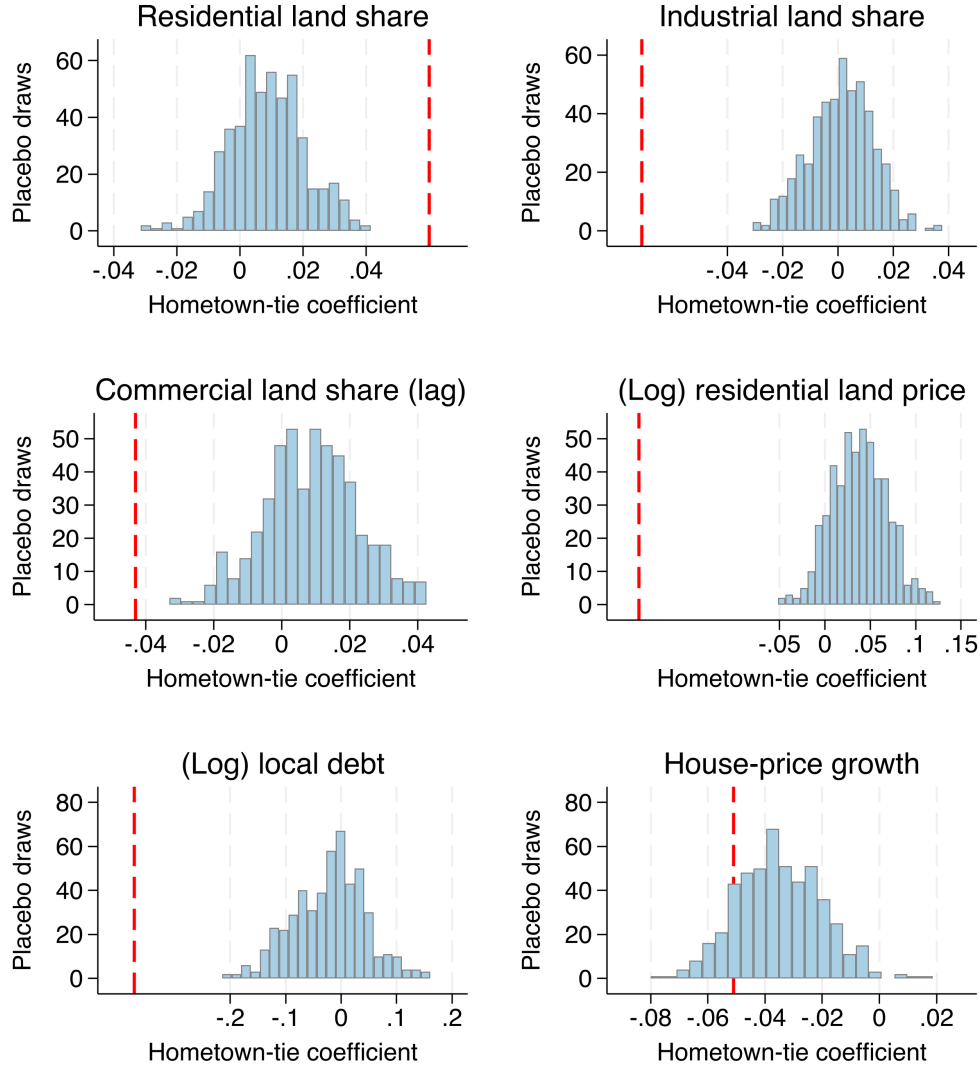
Notes. Event-study coefficients for the log sold sales revenue (price $\times$ quantity), for total land sales (top-left panel) and by land type. Specifications, fixed effects, and standard-error clustering match Figure 2. The omitted base is $\tau = -1$. Source: CREIS.

Figure 5: Event Study: Local Government Debt and House-Price Growth



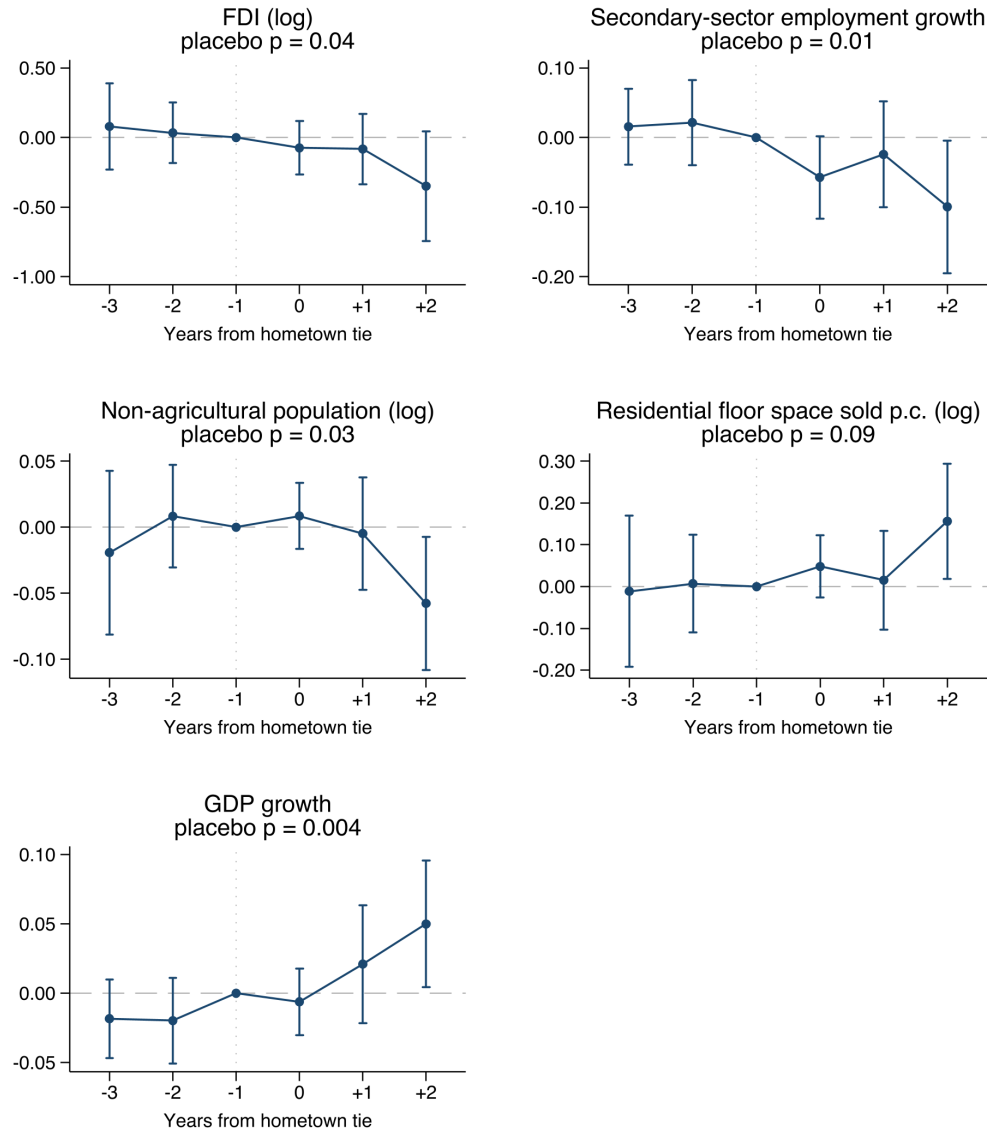
Notes. Event-study coefficients around a city's first hometown tie for (log) local government debt (left panel) and house-price growth (right panel). The omitted base is $\tau = -1$. Specifications match Figure 2, namely city-term, province-by-year, and year-within-term fixed effects, with post-tie years restricted to active ties and leads to no-tie years. Standard errors are two-way clustered at the city and province-year levels, with 95% confidence intervals shown. Local debt is the local-government financing-vehicle debt panel of [Huang, Pagano and Panizza \(2020\)](#) (Section 4).

Figure 6: Placebo Test: Permuting Provincial Leaders' Birthplaces Within Province



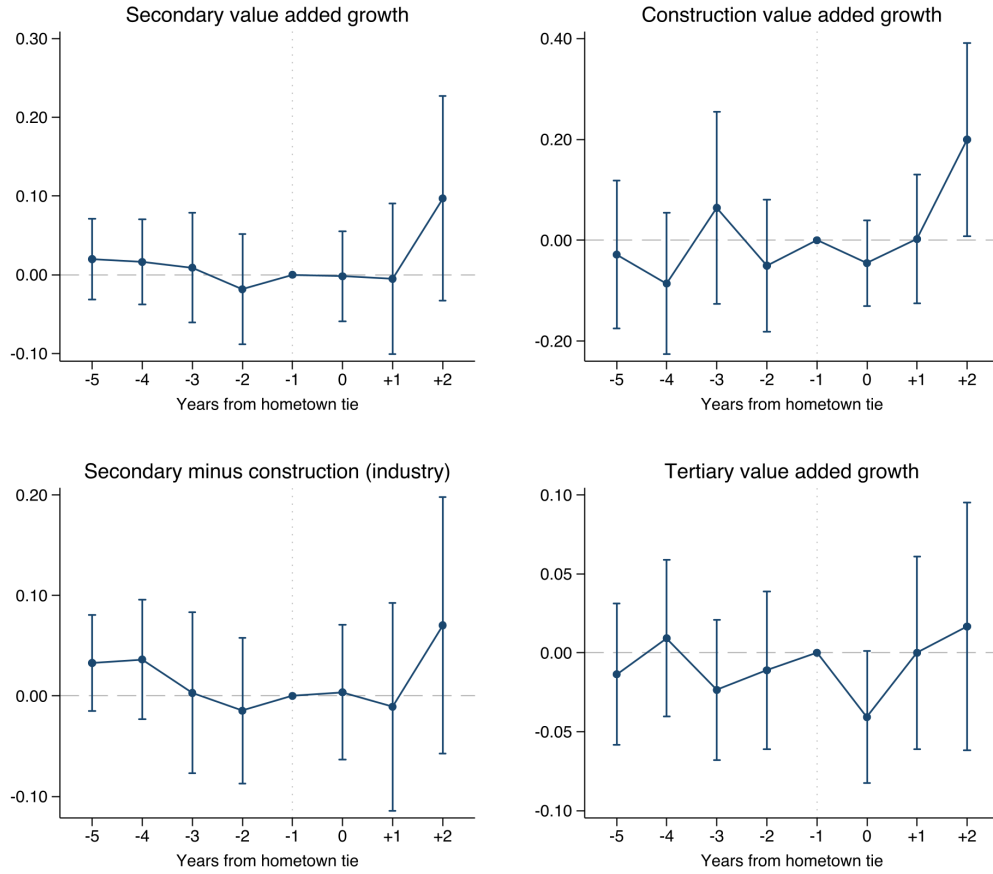
Notes. Each panel plots the distribution of the estimated hometown-tie coefficient across 500 placebo samples in which provincial leaders' birthplaces are randomly permuted within province. Each draw uses the same tie-construction rule and preferred specification as the corresponding outcome, namely city-term, province-by-year, and year-within-term fixed effects for the land and debt outcomes, and the lagged-dependent-variable specification without year-within-term fixed effects for house-price growth. Standard errors are two-way clustered throughout. The red dashed line marks the estimate under leaders' true birthplaces, equal to the corresponding headline estimate. Two-sided placebo p -values are below 0.002 for the residential, industrial, and commercial land shares, residential land price, and local debt, and 0.14 for house-price growth. The sample is the baseline sample of the main tables.

Figure 7: The Real Economy Recomposes Around the Hometown Tie



Notes. Event-study coefficients around a city's first hometown tie for five real-economy outcomes, on the same city-term, province-by-year, and year-within-term fixed effects and binned specification as Figure 2, with post-tie years restricted to active ties and leads to no-tie years. The displayed window is $\tau \in [-3, +2]$ with $\tau = -1$ omitted as the base. Each panel title reports the outcome's within-province placebo p -value. Top row: utilized FDI (log, the panel titled "FDI") and secondary-sector employment growth. Middle row: non-agricultural population (log) and residential floor space sold per capita (log). Bottom: GDP growth. Standard errors two-way clustered at the city and province-year levels, with 95% confidence intervals shown. Source: CEIC prefecture statistics merged to the analysis sample.

Figure 8: Decomposing the Post-Tie Output Rise by GDP Component



Notes. Event-study coefficients for annual value-added growth by GDP component, on the same city-term, province-by-year, and year-within-term fixed effects and binned specification as Figure 7, with $\tau = -1$ omitted as the base. The four panels are secondary value-added growth, construction value-added growth, the non-construction remainder of secondary value added, and tertiary value-added growth, from the provincial-yearbook decomposition of city GDP (Section 4). All four are estimated on the common set of 87 cities for which the construction split is observed, so the panels are comparable. After a tie, construction grows fastest, the non-construction remainder rises only mildly, and tertiary is flat, consistent with the secondary rise being the real-estate complex rather than the foreign-investment-driven manufacturing the tournament rewards. Bars are model-based 95% confidence intervals with standard errors two-way clustered at the city and province-year levels. We read the split as suggestive given the small sample. Source: EPS provincial yearbooks merged to the analysis sample.

8 Tables

Table 1: Summary Statistics of City Party Secretaries, by Term

	No Hometown Tie			Hometown Tie		
	Mean	Std.	count	Mean	Std.	count
Promotion	0.35	0.48	354	0.25	0.43	57
Term Length	4.01	1.59	354	4.79	1.58	57
Term Start Age	49.97	3.56	354	49.58	4.11	57

Notes. Summary statistics for the 411 completed leader terms in the promotion estimation sample of Table 4 (city party secretaries in office 2003–2015), reported separately for terms with and without a hometown tie. Hometown tie equals one if the province leader is appointed after the city leader and shares the same hometown this year or last. Promotion equals one when the city party secretary moves to a higher rank after his city term. Term length is years in the term, and term start age is age at term start. Source: China Political Elite Dataset.

Table 2: Summary Statistics of the Land-Market Variables

	Unit	N	Mean	Std. dev.	P25	Median	P75
Residential share of planned supply	share	630	0.50	0.17	0.39	0.51	0.61
Industrial share of planned supply	share	630	0.32	0.16	0.21	0.31	0.43
Commercial share of planned supply	share	630	0.16	0.10	0.09	0.14	0.21
Total planned supply (building area)	10k sq. m	630	1948	1618	808	1547	2576
Sold residential land price	RMB/sq. m	1057	1331	2826	490	757	1330
Sold industrial land price	RMB/sq. m	890	303	322	180	238	319
Hometown tie	0/1	1146	0.08	0.27	0.00	0.00	0.00

Notes. Summary statistics on the baseline estimation panel of city-year observations of 179 prefecture cities, 2003–2015, excluding the four direct-controlled municipalities and the dismissed leaders (Section 5). Shares are supplied building-area shares by use type. Total land supply is in 10,000 square meters of building area, and prices are sold (auction) prices per square meter, CPI-adjusted. Sample sizes vary with outcome availability. Source: China Real Estate Index System.

Table 3: Summary Statistics of Macro Variables, by City

	Unit	N	Mean	Std. dev.	Min	Median	Max
Housing price	RMB/sq m	195	3,750.41	2,166.56	1,657.70	3,017.30	16,364.43
Fixed investment	RMB mn	195	105,752.95	103,832.76	9,653.58	66,654.79	679,984.85
Real-estate investment	RMB mn	195	21,748.16	33,869.33	773.28	9,738.30	258,079.90
GDP	RMB tn	195	0.1826	0.2245	0.0146	0.1047	1.7508
Δ GDP	RMB tn	195	0.0168	0.0196	0.0008	0.0097	0.1200
Average wage	RMB	195	31,342.38	7,339.60	16,316.36	29,810.69	70,256.63
Paved road	sq m bn	195	0.02	0.03	0.00	0.01	0.26
Household registration	Person th	195	4,769.80	3,278.12	553.39	3,915.89	32,745.60
Usual residence	Person th	186	5,023.02	3,519.75	633.81	4,332.87	28,922.84
Govt. revenue	RMB bn	195	15.82	31.97	0.77	7.03	313.28
Govt. expenditure	RMB mn	195	23,486.48	36,146.12	3,989.12	14,843.67	349,434.69
Deposits	RMB mn	195	298,465.74	655,356.56	23,897.36	108,967.86	6,200,904.56

Notes. Summary statistics for city-level economic data for 195 cities, 2004–2015, except usual-residence population, available for 186 of them. Source: China National Bureau of Statistics.

Table 4: Promotion, GDP, and Hometown Tie

	<i>Dependent variable: end-of-term promotion</i>			
	(1)	(2)	(3)	(4)
GDP Growth (s.d.)*Hometown Tie	-0.246** (0.101)	-0.275*** (0.105)	-0.244** (0.098)	-0.247** (0.096)
Hometown Tie	0.529** (0.229)	0.604** (0.247)	0.574** (0.235)	0.625*** (0.227)
Annualized GDP Growth (s.d.)	0.124*** (0.046)	0.160*** (0.048)	0.146*** (0.046)	0.131*** (0.043)
Prov-Year FE	Y	Y	Y	Y
City FE	Y	Y	Y	Y
Turnover FE	N	Y	Y	Y
Gender FE	Y	Y	Y	Y
Age FE	Y	Y	Y	Y
Rank FE	N	N	Y	Y
Termination FE	N	N	N	Y
N	411	411	411	411
Adj. R^2	0.0991	0.0381	0.0705	0.0951

Notes. Linear probability model of end-of-term promotion over 411 completed city party-secretary terms, 2003–2015 (Section 4). Hometown tie equals 1 if the province leader is appointed after the city leader and shares the same hometown this year or last. All columns absorb birth-province fixed effects. Annualized GDP growth is standardized to unit standard deviation, so its coefficient and interaction with the tie are per-standard-deviation effects, while the hometown-tie main effect is in natural units. Standard errors, two-way clustered at the city and province-year levels, in parentheses.

Table 5: Decomposing the Promotion Gradient by GDP Component

GDP component contribution	Reward gradient (per s.d.)	Gradient $\times$ Tie (per s.d.)	Hometown Tie (main effect)
Aggregate GDP	0.14*** (0.05)	−0.16 (0.10)	0.49** (0.25)
Primary contribution	0.03 (0.05)	−0.07 (0.10)	0.18 (0.17)
Secondary contribution	0.13*** (0.05)	−0.29*** (0.10)	0.59*** (0.18)
<i>of which: construction</i>	−0.36* (0.19)	−0.11 (0.28)	0.08 (0.23)
Tertiary contribution	0.09 (0.07)	−0.06 (0.14)	0.22 (0.34)

Notes. Dependent variable is end-of-term promotion over completed leader terms, 2003–2015, excluding the four direct-controlled municipalities. Each sector’s contribution to aggregate annualized GDP growth sums to aggregate growth by construction. The reward-gradient and interaction columns standardize each contribution to unit standard deviation, so they are per-standard-deviation effects, comparable across rows, while the final column reports the hometown-tie main effect in natural units. Specification, fixed effects, and two-way clustering match column (4) of Table 4, and the aggregate row is the EPS counterpart of that GDP gradient. Only the secondary contribution carries a positive reward gradient that the tie severs, and its tie main effect (0.59) tracks the headline. Within the secondary sector, construction carries no positive reward, suggestive given the 164 terms observed. *, **, *** denote significance at the 10%, 5%, and 1% levels.

Table 6: Hometown Tie and House Price Growth Rate

	<i>Dependent variable: house-price growth</i>			
	(1)	(2)	(3)	(4)
Hometown Tie	-0.0559** (0.0213)	-0.0493** (0.0215)	-0.0514** (0.0226)	-0.0304 (0.0232)
L.pihpr	-0.394*** (0.102)	-0.408*** (0.0991)	-0.397*** (0.0994)	-0.401*** (0.0954)
L2.pihpr	-0.235*** (0.0610)	-0.250*** (0.0620)	-0.248*** (0.0631)	-0.257*** (0.0642)
(Log) GDP		-0.394** (0.193)	-0.350 (0.221)	-0.362 (0.224)
(Log) Population		0.443 (0.574)	0.432 (0.537)	0.396 (0.562)
(Log) Fiscal Revenue			0.0793 (0.111)	0.114 (0.109)
(Log) Fiscal Expenditure			-0.169 (0.119)	-0.152 (0.120)
City-Term FE	Y	Y	Y	Y
Prov-Year FE	Y	Y	Y	Y
Turnover FE	N	N	N	Y
N	386	386	386	386
Adj. R^2	0.421	0.428	0.425	0.409

Notes. OLS estimates of the hometown-tie effect on house-price growth. Sample is up to 191 prefecture-level cities, 2003–2015 (excluding the four direct-controlled municipalities). Hometown tie equals 1 if the province leader is appointed after the city leader and shares the same hometown this year or last. Each observation is a city-year pair. Standard errors, two-way clustered at the city and province-year levels, in parentheses.

Table 7: Hometown Tie and Local Government Debt

	<i>Dependent variable: (log) local government debt</i>				
	(1)	(2)	(3)	(4)	(5)
L.Hometown Tie	-0.325*	-0.330**	-0.323*	-0.322*	-0.373**
	(0.164)	(0.164)	(0.167)	(0.178)	(0.162)
L2.Hometown Tie				-0.158**	
				(0.0617)	
Hometown Tie				-0.128	
				(0.135)	
Average Bond Coupon	0.0574**	0.0606**	0.0561*	0.0368	0.0480
	(0.0288)	(0.0292)	(0.0296)	(0.0276)	(0.0310)
(Log) GDP		-1.259	-1.482*	-1.256	-1.661*
		(0.843)	(0.887)	(0.903)	(0.891)
(Log) Population		-0.853***	-0.977**	-1.126**	-0.989**
		(0.323)	(0.386)	(0.434)	(0.460)
(Log) Fiscal Revenue			0.134	-0.0285	-0.120
			(0.390)	(0.489)	(0.333)
(Log) Fiscal Expenditure			0.339	0.381	0.402
			(0.289)	(0.518)	(0.263)
City-Term FE	Y	Y	Y	Y	Y
Prov-Year FE	Y	Y	Y	Y	Y
Turnover FE	N	N	N	N	Y
N	359	359	359	349	359
Adj. R^2	0.965	0.965	0.965	0.965	0.965

Notes. OLS estimates of the hometown-tie effect on (log) local government outstanding debt. Columns (1)–(3) use the one-year-lagged tie with controls added progressively. Column (4) is a distributed-lag specification with the contemporaneous, one-year-lagged, and two-year-lagged tie. Column (5) adds year-within-term fixed effects to the full-control specification. Sample is up to 191 prefecture-level cities, 2003–2015 (excluding the four direct-controlled municipalities). Hometown tie equals 1 if the province leader is appointed after the city leader and shares the same hometown this year or last. Each observation is a city-year pair. Standard errors, two-way clustered at the city and province-year levels, in parentheses.

Table 8: Hometown Tie and Land Supply Ratio

<i>Panel A. Residential land share</i>				
	(1)	(2)	(3)	(4)
Hometown Tie	0.0513*	0.0472*	0.0464*	0.0600**
	(0.0290)	(0.0257)	(0.0258)	(0.0258)
(Log) GDP		0.378	0.316	0.366
		(0.329)	(0.346)	(0.359)
(Log) Population		-0.218	-0.250	-0.296
		(0.200)	(0.203)	(0.184)
(Log) Fiscal Revenue			0.0227	0.0476
			(0.137)	(0.130)
(Log) Fiscal Expenditure			0.107	0.108
			(0.122)	(0.125)
City-Term FE	Y	Y	Y	Y
Prov-Year FE	Y	Y	Y	Y
Turnover FE	N	N	N	Y
N	485	485	485	485
Adj. R^2	0.472	0.471	0.468	0.468
<i>Panel B. Industrial land share</i>				
	(1)	(2)	(3)	(4)
Hometown Tie	-0.0594*	-0.0530*	-0.0493*	-0.0710**
	(0.0320)	(0.0276)	(0.0287)	(0.0319)
(Log) GDP		-0.335	-0.210	-0.214
		(0.266)	(0.269)	(0.285)
(Log) Population		-0.367	-0.342	-0.324
		(0.249)	(0.245)	(0.252)
(Log) Fiscal Revenue			-0.182	-0.175
			(0.139)	(0.144)
(Log) Fiscal Expenditure			-0.0314	-0.0461
			(0.124)	(0.130)
City-Term FE	Y	Y	Y	Y
Prov-Year FE	Y	Y	Y	Y
Turnover FE	N	N	N	Y
N	485	485	485	485
Adj. R^2	0.502	0.508	0.509	0.501

Notes. OLS estimates of the hometown-tie effect on the share of land supply by use type. Panel A is the residential share and Panel B the industrial share, with controls added progressively across columns and column 4 the preferred specification. Sample is up to 191 prefecture-level cities, 2003–2015 (excluding the four direct-controlled municipalities). Hometown tie equals 1 if the province leader is appointed after the city leader and shares the same hometown this year or last. Each observation is a city-year pair. Standard errors, two-way clustered at the city and province-year levels, in parentheses.

Table 9: Hometown Tie and Unit Price of Land by Type

<i>Panel A. (Log) residential land price</i>				
	(1)	(2)	(3)	(4)
Hometown Tie	-0.258*** (0.0955)	-0.263*** (0.0907)	-0.266*** (0.0930)	-0.205** (0.104)
(Log) GDP		0.131 (0.790)	0.0400 (0.764)	-0.127 (0.744)
(Log) Population		0.707 (1.255)	0.718 (1.278)	0.719 (1.220)
(Log) Fiscal Revenue			0.177 (0.456)	0.286 (0.457)
(Log) Fiscal Expenditure			-0.0727 (0.523)	-0.251 (0.581)
City-Term FE	Y	Y	Y	Y
Prov-Year FE	Y	Y	Y	Y
Turnover FE	N	N	N	Y
N	506	506	506	506
Adj.R ²	0.860	0.860	0.858	0.858
<i>Panel B. (Log) industrial land price</i>				
	(1)	(2)	(3)	(4)
Hometown Tie	0.127* (0.0716)	0.119* (0.0637)	0.113* (0.0644)	0.141* (0.0713)
(Log) GDP		0.803 (0.581)	0.524 (0.562)	0.458 (0.560)
(Log) Population		-0.0740 (0.660)	-0.154 (0.676)	-0.104 (0.722)
(Log) Fiscal Revenue			0.257 (0.328)	0.236 (0.339)
(Log) Fiscal Expenditure			0.194 (0.267)	0.175 (0.269)
City-Term FE	Y	Y	Y	Y
Prov-Year FE	Y	Y	Y	Y
Turnover FE	N	N	N	Y
N	506	506	506	506
Adj.R ²	0.688	0.686	0.685	0.678

Notes. OLS estimates of the hometown-tie effect on the (log) sold price of residential land per unit building area (Panel A) and industrial land (Panel B). Within each panel, columns add controls progressively, with column 4 the preferred specification. Sample is up to 191 prefecture-level cities, 2003–2015 (excluding the four direct-controlled municipalities). Hometown tie equals 1 if the province leader is appointed after the city leader and shares the same hometown this year or last. Each observation is a city-year pair. In the no-control column of each panel, city-clustered standard errors are reported (Cameron, Gelbach and Miller, 2011). Standard errors, two-way clustered at the city and province-year levels, in parentheses.

Table 10: Hometown Tie and Land Sales Revenue

	(1)	(2)	(3)	(4)
	Total	Residential	Industrial	Commercial
Hometown tie	-0.0983 (0.128)	0.0312 (0.185)	-0.104 (0.184)	0.0460 (0.226)
one-year lag	-0.194* (0.116)	-0.230 (0.170)	-0.113 (0.187)	-0.104 (0.227)
two-year lag	0.105 (0.122)	0.182 (0.144)	0.112 (0.196)	0.104 (0.230)
Cumulative effect	-0.187	-0.0165	-0.105	0.0458
Joint p -value	0.407	0.272	0.784	0.952
City-Term FE	Y	Y	Y	Y
Prov-Year FE	Y	Y	Y	Y
Turnover FE	Y	Y	Y	Y
N	562	609	576	593
R^2	0.955	0.928	0.870	0.895

Notes. Distributed-lag estimates of (log) land sales revenue on the contemporaneous hometown tie (L_0) and its one- and two-year lags (L_1 , L_2), entered jointly. Column (1) is total land sales revenue, and columns (2)–(4) decompose it by use type. “Cumulative effect” is $L_0 + L_1 + L_2$, and “Joint p -value” tests that the three lag coefficients are jointly zero. All specifications include the full control set with city-term, province-year, and year-within-term fixed effects. Sample is 2003–2015, excluding the four direct-controlled municipalities and dismissed leaders. Each observation is a city-year pair. Source: China Real Estate Index System. Standard errors, two-way clustered at the city and province-year levels, in parentheses. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

Table 11: Hometown Tie and Total Land Supply

	<i>Dependent variable: (log) total land supply</i>			
	(1)	(2)	(3)	(4)
Hometown Tie	-0.0501 (0.119)	-0.0350 (0.124)	-0.0345 (0.128)	-0.0347 (0.129)
(Log) GDP		-0.882 (0.808)	-1.078 (0.813)	-1.134 (0.762)
(Log) Population		-1.172 (1.001)	-1.350 (0.946)	-1.190 (0.937)
(Log) Fiscal Revenue			-0.152 (0.428)	-0.225 (0.423)
(Log) Fiscal Expenditure			0.627 (0.485)	0.740 (0.513)
City-Term FE	Y	Y	Y	Y
Prov-Year FE	Y	Y	Y	Y
Turnover FE	N	N	N	Y
N	516	516	516	516
Adj. R^2	0.830	0.831	0.831	0.829

Notes. OLS estimates of the hometown-tie effect on the (log) level of total land supply. Sample is up to 191 prefecture-level cities, 2003–2015 (excluding the four direct-controlled municipalities). Each observation is a city-year pair. Standard errors, two-way clustered at the city and province-year levels, in parentheses.

Appendices

A Timing of the Hometown-Tie Effect

This appendix supports the timing choices made for each main outcome. For each outcome, we estimate a single regression including both the contemporaneous hometown tie (L_0) and the one-year-lagged tie (L_1), with the same controls and fixed-effect structure as the corresponding main table. The within-city-term first-order autocorrelation of the outcome is reported as a sluggishness gauge. Outcomes whose AR(1) is near zero are within-year decisions and load on L_0 , while outcomes with substantial AR(1) load on L_1 .

Table 12: Timing of the Hometown-Tie Effect Across Main Outcomes

<i>Panel A. Planned land shares and local debt</i>				
	Res. land share	Ind. land share	Com. land share	(Log) debt
Hometown Tie	0.0542** (0.0268)	-0.0445 (0.0309)	-0.0127 (0.0173)	-0.122 (0.137)
L.Hometown Tie	0.0277 (0.0322)	0.0132 (0.0328)	-0.0396*** (0.0141)	-0.343* (0.177)
AR(1) of outcome	-0.16	-0.13	0.00	0.60
City-Term FE	Y	Y	Y	Y
Prov-Year FE	Y	Y	Y	Y
N	456	456	456	359
Adj. R^2	0.467	0.511	0.289	0.965
<i>Panel B. (Log) land prices and house-price growth</i>				
	Res. land price	Ind. land price	Com. land price	HP growth
Hometown Tie	-0.215*** (0.0824)	0.102 (0.0803)	-0.171 (0.143)	-0.0543** (0.0215)
L.Hometown Tie	-0.00968 (0.0660)	-0.0977 (0.0682)	0.00459 (0.151)	-0.0464** (0.0215)
AR(1) of outcome	-0.01	0.00	-0.25	-0.24
City-Term FE	Y	Y	Y	Y
Prov-Year FE	Y	Y	Y	Y
N	765	678	710	386
Adj. R^2	0.824	0.611	0.575	0.425

Notes. Each column regresses the indicated outcome on the contemporaneous hometown tie (L_0 , Hometown Tie) and its one-year lag (L_1 , L.Hometown Tie), jointly. Panel A covers the supplied land share by use type and (log) local government debt, and Panel B the (log) sold land price by use type and house-price growth (Section 4). Controls include (log) GDP, (log) resident population, and (log) government in-budget revenue and expenditure. The HP regression adds $L_{1.pihpr}$ and $L_{2.pihpr}$, and the debt regression adds the average bond coupon. All specifications include city-term and province-year fixed effects. The AR(1) row reports the within-city-term first-order autocorrelation of the outcome. Standard errors, two-way clustered at the city and province-year levels, in parentheses.

B Robustness: Pooling the Direct-Controlled Municipalities and Including Dismissed Leaders

Table 13: Main Results Pooling the Four Direct-Controlled Municipalities

	(1) Promo.	(2) HP growth	(3) Debt	(4) Resid. share	(5) Indust. share	(6) Resid. price
GDP growth $\times$ tie	-3.416** (1.327)					
Hometown tie	0.625*** (0.227)	-0.0437** (0.0217)		0.0706*** (0.0261)	-0.0769*** (0.0292)	-0.178* (0.101)
Hometown tie (lag)			-0.376** (0.155)			
N	411	413	378	503	503	522
Adj. R^2	0.0951	0.453	0.972	0.463	0.516	0.873

Notes. Each main result re-estimated pooling back in the four direct-controlled municipalities (Beijing, Shanghai, Tianjin, and Chongqing), with their ties defined analogously at the central level. Column (1) is the promotion linear-probability model, reporting the GDP-growth $\times$ hometown-tie interaction and the main effect, using the specification of Table 4 column (4). Columns (2)–(6) report the hometown-tie coefficient from the house-price-growth, (log) local-debt (one-year-lagged tie), residential land-share, industrial land-share, and (log) residential land-price regressions, with samples and specifications harmonized as in the corresponding main tables (Tables 6, 7, 8, and 9). Standard errors, two-way clustered at the city and province-year levels, in parentheses. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

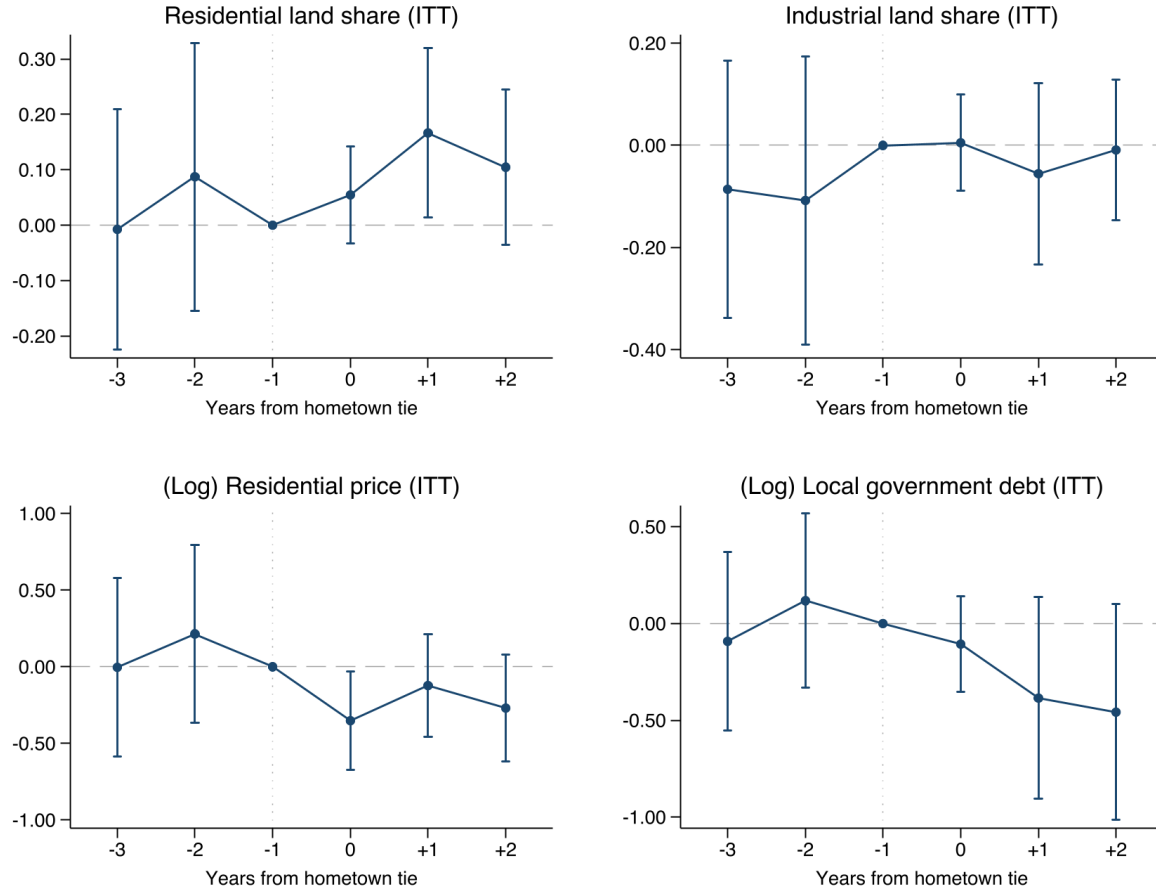
Table 14: Main Results Including the 56 Dismissed Leaders

	(1) HP Growth	(2) (Log) Debt	(3) Resid. Share	(4) Indust. Share	(5) (Log) Resid. Price
Hometown Tie	-0.0273 (0.0221)		0.0668** (0.0256)	-0.0776** (0.0311)	-0.208** (0.0927)
Hometown Tie (lagged)		-0.299** (0.150)			
N	572	435	561	561	584
Adj. R^2	0.420	0.966	0.448	0.503	0.856

Notes. Each main outcome re-estimated including the 56 city leaders dismissed during their careers, whom the baseline analysis excludes. Columns report the hometown-tie coefficient for house-price growth, (log) local debt (one-year-lagged tie), the residential and industrial land shares, and the (log) residential land price. Specifications, fixed effects, sample harmonization, and two-way clustering match the corresponding main tables. Standard errors, two-way clustered at the city and province-year levels, in parentheses. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

C Intention-to-Treat Event Study

Figure 9: Event Study Without the Active-Tie Restriction (Intention to Treat)



Notes. Intention-to-treat version of the event study of Section 5.2.4, in which post-tie dummies are assigned by event time alone and pre-tie leads enter regardless of tie status. The specification is otherwise identical, namely city-term, province-by-year, and year-within-term fixed effects, binned out-of-window dummies, and standard errors two-way clustered at the city and province-year levels. Panels are the residential share, industrial share, residential price, and debt.

D No Effect on Aggregate Scale Outcomes

Table 15: Hometown Tie and Aggregate Real-Economy Outcomes

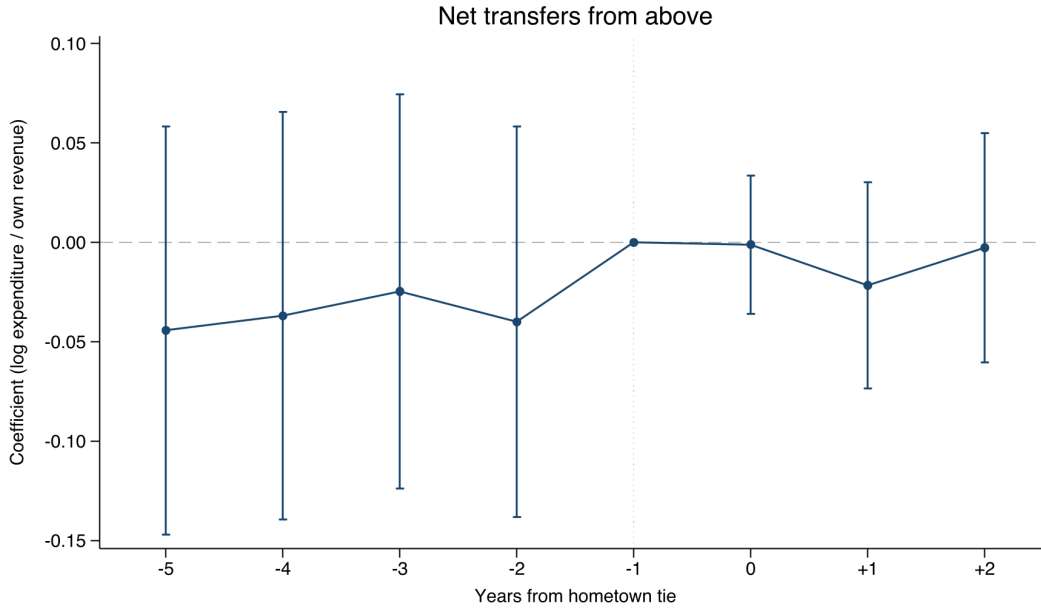
	(1) $\Delta \log \text{GDP}$	(2) (Log) Fixed Inv.	(3) (Log) RE Inv.	(4) (Log) Paved Road
Hometown Tie	0.0154** (0.00640)	0.0213 (0.0241)	0.0371 (0.0341)	-0.00616 (0.0214)
N	1365	1592	1589	1587
Adj. R^2	0.558	0.992	0.978	0.975

Notes. Each column regresses an aggregate real-economy outcome on the contemporaneous hometown tie, controlling for (log) resident population and (log) government in-budget revenue and expenditure, with city-term and province-year fixed effects. The outcomes are annual GDP growth ($\Delta \log \text{GDP}$), (log) fixed-asset investment, (log) real-estate investment, and (log) paved-road area. Standard errors, two-way clustered at the city and province-year levels, in parentheses. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

E Preferential Treatment From Above

The output result of Section 5.4 could in principle reflect a provincial patron channeling resources to the tied city rather than the leader's own reallocation. The two exhibits here test that reading directly, and neither supports it.

Figure 10: Resources From Above Do Not Respond to the Hometown Tie



Notes. Event-study coefficients around a city's first hometown tie for net transfers from above, estimated on the full analysis panel. The plotted outcome is the log of the general-budget expenditure-to-own-revenue ratio, which proxies transfers from above. The window runs from $\tau = -5$ to $\tau = +2$, asymmetric because post-tie observations must be active-tie years. The event clock, binned specification, fixed effects, and two-way clustering otherwise match Figure 7, with $\tau = -1$ the omitted base and 95% confidence intervals shown. Source: analysis panel, general-budget expenditure and revenue.

Table 16: Resources From Above Do Not Respond: Static Tests

Funding channel	Hometown tie	s.e.	N
Net transfers (log expenditure / own revenue)	-0.012	(0.012)	1,592
Total infrastructure funding / expenditure (log)	-0.214*	(0.123)	1,097
Central appropriation received (any, 0/1)	-0.195*	(0.101)	1,097
Central share of infrastructure funding	-0.041	(0.026)	1,097
Local + provincial appropriation / expenditure (log)	-0.133	(0.150)	1,031

Notes. Each row is a separate static regression of the indicated funding channel on the contemporaneous hometown tie, with (log) GDP and (log) population controls and province-by-year, city-term, and year-within-term fixed effects. Funding series are from the Urban Construction Statistical Yearbook (2006–2015) and cover 169 to 183 cities. The comprehensive net-transfer test is plotted in Figure 10. Two-way clustered (city, province-year) standard errors in parentheses. * $p < 0.1$.

Table 17: Untied Province-Mates Do Not Respond When a Province-Mate Becomes Tied

	(1) GDP growth	(2) FDI (log)	(3) Resid. share
Province-mate tied	−0.006 (0.005)	0.006 (0.056)	0.018 (0.014)
one-year lag	−0.001 (0.007)	0.040 (0.068)	0.018 (0.015)
two-year lag	0.001 (0.006)	−0.001 (0.069)	0.023 (0.016)
Joint p -value	0.522	0.946	0.306
City FE	Y	Y	Y
Year FE	Y	Y	Y
N	1,178	1,165	517
R^2	0.460	0.916	0.637

Notes. The sample is untied city-years, and the regressor is an indicator for any province-mate being tied that year, entered with its first two annual lags. The dependent variables are annual GDP growth, log utilized foreign investment, and the residential share of land supply. Specifications absorb city and year fixed effects, and standard errors are clustered by province.

F Specificity: Hometown Ties versus Other Social Ties

Table 18: The Effect Is Specific to Hometown Ties

	Resid. share	Indust. share	Resid. land price	(Log) debt	HP growth
Hometown tie	0.060** (0.025)	-0.071** (0.032)	-0.205** (0.104)	-0.373** (0.162)	-0.051** (0.023)
Party-school tie	-0.031 (0.023)	0.002 (0.025)	0.064 (0.063)	0.094* (0.056)	0.034* (0.020)
Original-school tie	-0.020 (0.020)	-0.003 (0.031)	0.022 (0.113)	-0.133* (0.076)	-0.034 (0.049)

Notes. Each cell reports the coefficient on a hometown, shared-party-school, or shared-original-school tie from the preferred specification for each outcome (full controls, city-term, province-year, and year-within-term fixed effects). Outcome samples are harmonized as in the corresponding main tables, so the hometown-tie row reproduces the headline point estimates. The debt column uses the one-year-lagged tie, and the house-price-growth column omits within-term fixed effects and includes two lags of the dependent variable. Standard errors, two-way clustered at the city and province-year levels, in parentheses. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

G Heterogeneity by Promotion Stakes

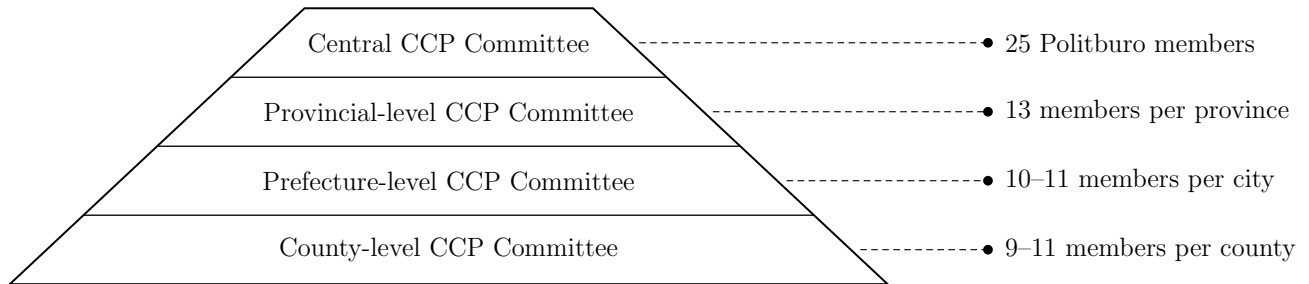
Table 19: The Effect Is Concentrated Among Leaders Still in the Promotion Tournament

	Resid. share	Indust. share	Resid. land price	(Log) debt
Hometown tie	0.061** (0.029)	-0.078** (0.036)	-0.210** (0.105)	-0.474** (0.206)
× out-of-tournament	-0.011 (0.060)	0.050 (0.036)	0.142 (0.190)	0.377* (0.196)
Implied: out-of-tournament	0.051 (0.050)	-0.027 (0.022)	-0.068 (0.170)	-0.097* (0.052)

Notes. Each column adds to the preferred specification an interaction between the hometown tie and an indicator for leaders out of the promotion tournament, namely those past the customary age ceiling for their rank (start-of-term age above 55 for prefecture, 60 for sub-provincial, and 65 for provincial rank). The first row is the tie effect for leaders still in the tournament, the second the differential for out-of-tournament leaders, and the third their implied effect (the sum). The debt column uses the one-year-lagged tie. Controls, fixed effects (city-term, province-year, year-within-term), and two-way clustering match the preferred columns of the main tables. Standard errors, two-way clustered at the city and province-year levels, in parentheses. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

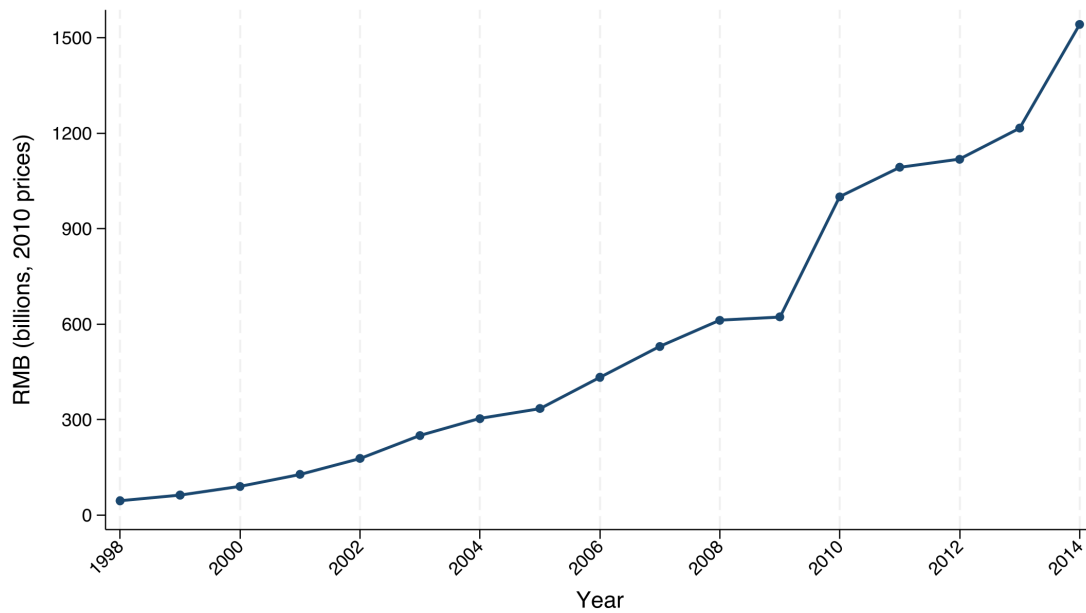
H Additional Descriptive and Institutional Figures

Figure 11: The Political Pyramid of the Communist Party of China



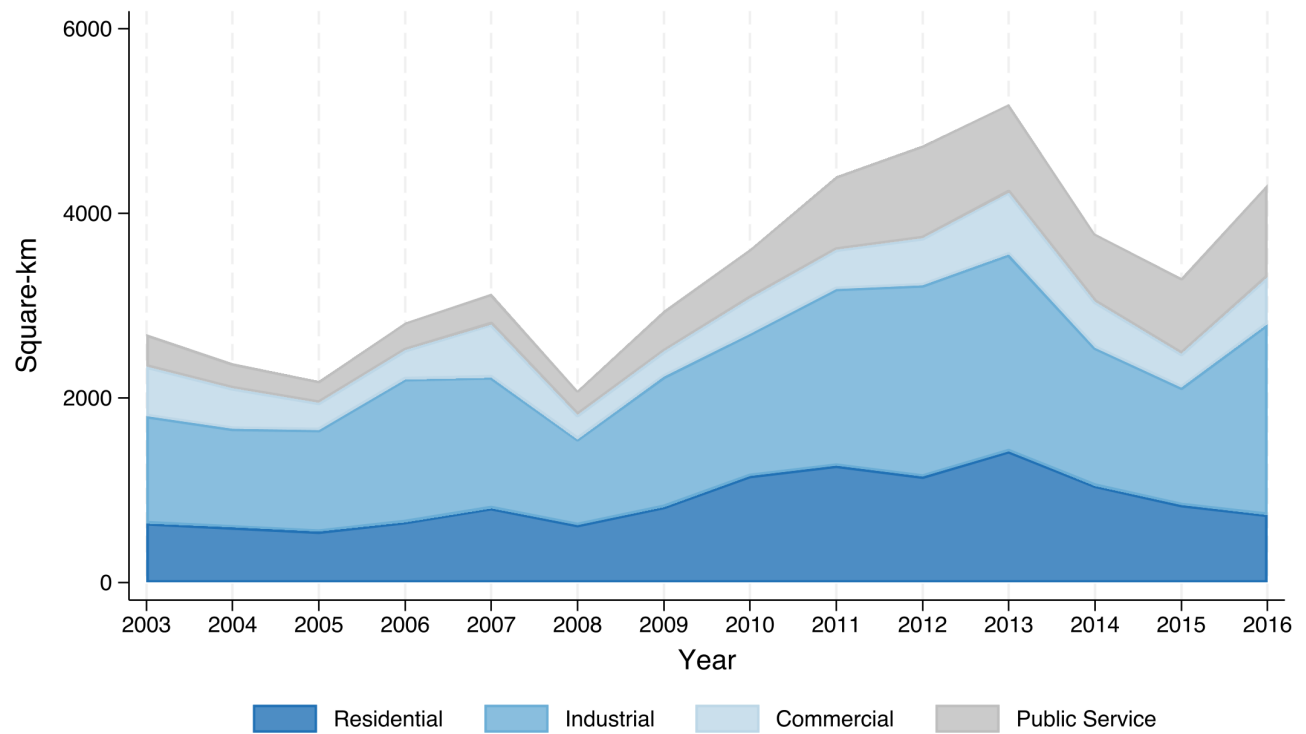
Notes. This graph plots the organizational structure of the Communist Party of China.

Figure 12: Total Land Sales to Real Estate Developers (RMB Billions)



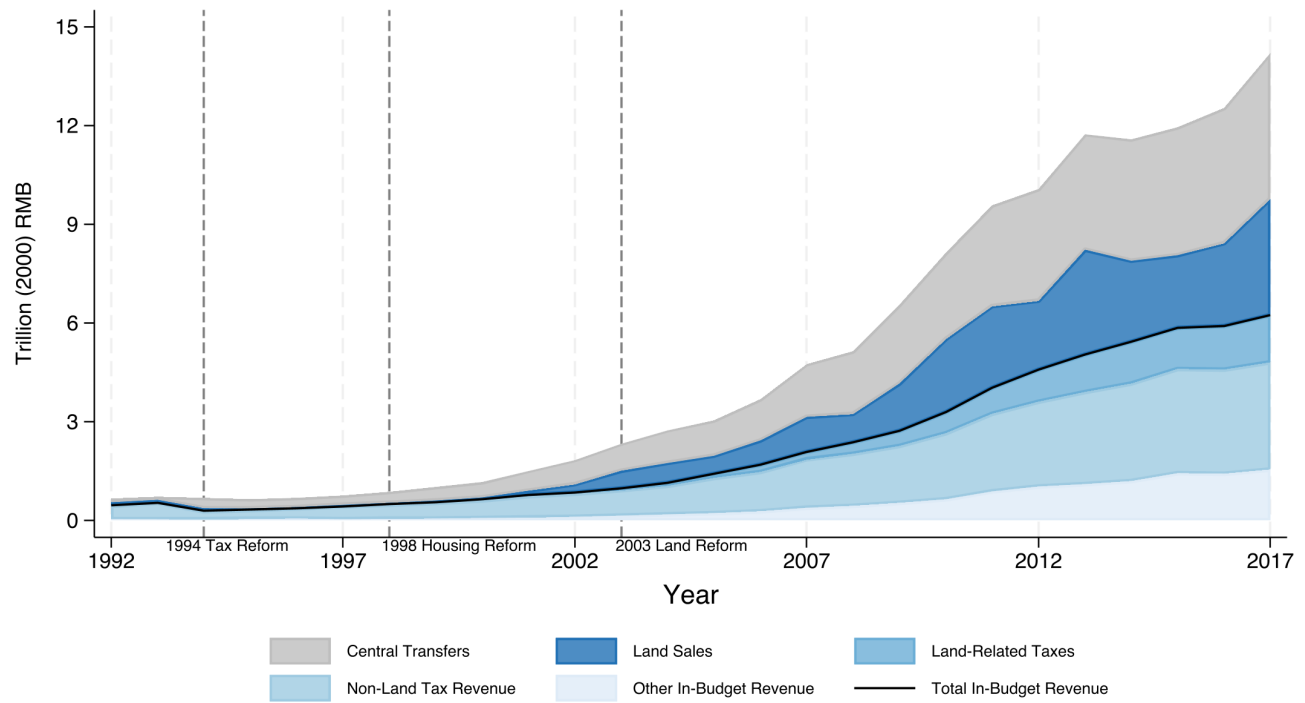
Notes. Annual total land sales revenue to real estate developers in the Chinese land market, in RMB billions, CPI-adjusted (2010=1). Source: China Statistics Yearbook (1999–2016).

Figure 13: Land Allocation by Use Type



Notes. Composition of land supplied in China, 2003–2016. Omitted categories are land for water facilities, transportation, and special purpose. Source: China National Bureau of Statistics.

Figure 14: Local Governments' Financial Structure



Notes. Local Chinese governments' financial structure, 1992–2017. Source: land sales data from Zhang (2009) for 1992–1999 and Finance Yearbook of China for 2000–2017, government budget data from China National Bureau of Statistics.